



1245 1st Ave SE| Cedar Rapids, IA 52402| 319.247.1072|

July 31, 2017

RE: AAVIN Mezzanine Fund, LP Interim Financials and Portfolio Valuations
June 30, 2017

Portfolio Update:

As of June 30, 2017, the fund had invested cost of \$ 20,558,649 million dollars in eight portfolio companies. Two portfolio companies have returned principal of \$ 3,910,311, which can be redeployed into new investments through October 31, 2020. As of June 30, 2017, investments in portfolio companies, carried at cost, totaled \$16,648,338. These investments have returned total cashflows of \$5,963,540 as of June 30, 2017.

The following is a summary of the portfolio as of June 30, 2017:

Company	Total Invested Cost	Current Valuation	Total Proceeds Received thru 6/30/17
B12 Transportation Group LLC	\$ 1,636,032	\$ 1,636,032	\$ 193,084
CPI Luxury Group	3,554,811	-	4,112,622
Montana Silversmiths, LLC	2,133,000	1,777,500	489,239
Odessa AIM Holdings, Inc.	3,199,329	3,199,329	401,094
SPI Acquisition Holdings, Inc.	3,448,350	3,448,350	232,274
Transfer Tool Systems LLC	1,965,203	1,965,203	228,818
Verrex, LLC	1,421,924	1,421,924	136,662
Weeks Service Company	3,200,000	3,200,000	169,746
	<u>\$ 20,558,649</u>	<u>\$ 16,648,338</u>	<u>\$ 5,963,539</u>

New Investments:

On April 14, 2017, the Fund invested \$91,018 of follow-on financing in Transfer Tool Systems LLC.

Deal Flow:

In the first half of 2017 we reviewed 380 + potential investment opportunities. We currently have four investments under letter of intent with LOIs totally over \$12.5 million. Two are anticipated to close by the end of August and two in September.

Capital:

To date we have drawn private capital of \$10.87 million or 52.5% of committed capital. SBA leverage outstanding totals \$9.68 million. We currently continue to anticipate a 10% capital call or \$2,000,000 late in the third quarter of 2017.

If you have questions or matters you wish to discuss please contact me.

Thank You – Sincerely,

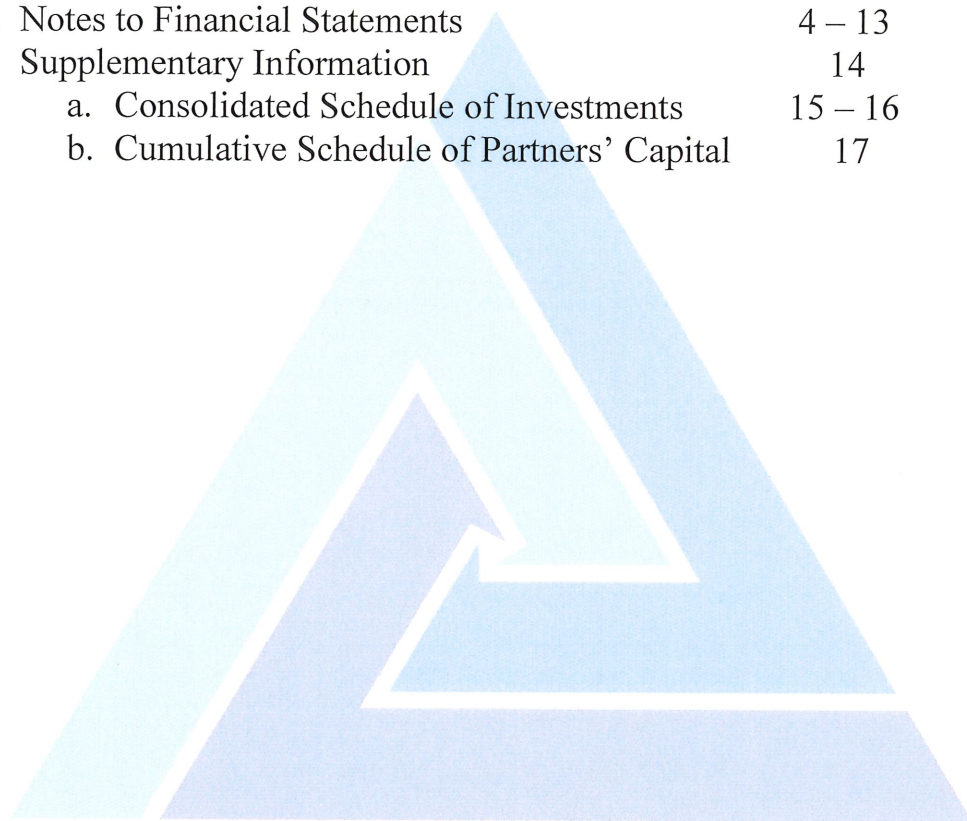
A handwritten signature in blue ink, appearing to read "James D. Thorp".

James D. Thorp – Managing Partner



AAVIN MEZZANINE PARTNERS, LP
Financial Package
June 30, 2017

<u>Financials</u>	<u>Page</u>
1. Balance Sheet	1
2. Statement of Operations	2
3. Statement of Cashflows	3
4. Notes to Financial Statements	4 – 13
5. Supplementary Information	14
a. Consolidated Schedule of Investments	15 – 16
b. Cumulative Schedule of Partners' Capital	17



UNAUDITED – For Management Purposes Only.

AAVIN Mezzanine Fund, LP
Balance Sheet
As of June 30, 2017

Assets

Assets

Investments at value determined by General Partner (Footnote 1, Pg 8)	\$ 16,648,338
Cash and cash equivalents (Footnote 1)	1,659,837
Accrued interest receivable, net of reserve for loss (Footnote 1)	91,129
Deferred Financing Costs (Footnote 1)	<u>309,043</u>
Total Assets	<u>\$ 18,708,346</u>

Liabilities and Stockholders' Equity

Liabilities

SBA debenture securities (Footnote 3)	9,680,000
Accounts payable (Footnote 5)	10,313
Due to affiliate (Footnote 4)	559,396
Accrued interest payable (Footnote 3)	<u>97,730</u>
Total Liabilities	10,347,438

Stockholders' Equity

Contributed capital	\$ 10,871,201
Syndication costs	(41,632)
Retained deficit	<u>(2,468,661)</u>
Total partners' capital (Page 17)	<u>8,360,908</u>

Total Liabilities and Stockholders' Equity	<u>\$ 18,708,346</u>
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AAVIN Mezzanine Fund, LP
Statement of Operations
For the Six Months Ended June 30, 2017

Investment income:

Interest income	\$ 737,217
Pre-payment fees	116,598
Total investment income	<u>853,815</u>

Expenses:

Investment management fee, net (Footnote 4)	600,480
Interest expense (Footnote 3)	147,640
Audit and examination fees	14,845
Appraisal and investigation costs	37,028
Advisor cost	3,000
Communications	47
Insurance	10,401
Legal fees	7,846
Taxes, Excluding Income Taxes	300
Travel	2,584
Amortization	33,613
Dues	6,599
Other	192
Total Expenses	<u>864,576</u>
 Net Income (Loss)	 <u><u>\$ (10,762)</u></u>

AAVIN Mezzanine Fund, LP
Statement of Cashflows
For the Six Months Ended June 30, 2017

Cash Flows from Operating Activities

Net Income (Loss)	\$	(10,762)
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Adjustments to reconcile Net Income (Loss) to net Cash:

Interest Receivable		30,340
Accounts Payable		(2,063)
Management Fees Payable		175,490
Amortization of Deferred Financing Costs		33,613
Total Adjustments		237,380

Net Cash Provided By (Used In) Operating Activities		226,619
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Cash Flows from Investing Activities

Investments in Small Businesses		(3,291,018)
Principal Repayment on debt from small business		3,554,811
Net Cash Provided By (Used In) Investing Activities		263,793

Net Cash Provided By (Used In) Financing Activities		-
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Net Increase (Decrease) in Cash		490,412
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Cash at Beginning of Period

Cash at Beginning of Period		1,169,425
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Total Cash at Beginning of Period		1,169,425
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Cash at End of Period	\$	1,659,837
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AAVIN MEZZANINE FUND, LP

NOTES TO FINANCIAL STATEMENTS

June 30, 2017

1. Nature of business and significant accounting policies

Organization and nature of business

AAVIN Mezzanine Fund, LP (the "Partnership") is a limited partnership organized under the laws of the State of Delaware to operate as a mezzanine and private equity fund to provide debt and equity capital to small later stage businesses throughout the United States. The Partnership was formed on October 10, 2014 and commenced operations on October 31, 2014 under the Amended and Restated Agreement of Limited Partnership ("Agreement"). Effective January 7, 2015, the United States Small Business Administration ("SBA") approved the Partnership's license application to operate as a Small Business Investment Company ("SBIC") under the provisions of Section 301(c) of the Small Business Investment Act of 1958, as amended. As of December 31, 2016 and 2015, the Partnership consists of 40 and 41 limited partners, respectively, and a General Partner, AAVIN Mezzanine, LLC. The Partnership's fiscal year ends December 31. Significant accounting policies followed by the Partnership are presented below.

Under the Agreement, the Partnership shall continue until the first to occur of the following: (1) withdrawal, dissolution or bankruptcy of the General Partner, or (2) the later of October 10, 2024 or two years after all outstanding SBA leverage has matured, subject to two additional one year extensions to such date in the sole discretion of the General Partner or (3) at the election of the General Partner and a majority interest of the Limited Partners after October 10, 2024 if all outstanding SBA leverage has been repaid and all amounts due the SBA have been paid.

The Partnership owns all of the outstanding stock of AAVIN TTP Holdings, Inc., AAVIN B12 Holdings, Inc., AAVIN Verrex, Inc. and AAVIN Montana Silversmith, Inc. AAVIN TTP Holdings, Inc. was incorporated on June 14, 2015, AAVIN B12 Holdings, Inc. was incorporated on November 13, 2015, AAVIN Verrex, Inc. was incorporated on June 16, 2016 and AAVIN Montana Silversmith, Inc. was incorporated on June 28, 2016. These corporations were established as "blocker corporations" in order to avoid unrelated business taxable income generated from limited liability company investments. The blocker corporations hold the equity portion of the Partnership's investments in Transfer Tool Holdings, LLC, B12 Transportation Group, LLC, Verrex, LLC and Montana Silversmiths Holdings, LLC.

Principles of consolidation

The accompanying consolidated financial statements include the accounts of AAVIN Mezzanine Fund, LP, AAVIN TTP Holdings, Inc., AAVIN B12 Holdings, Inc., AAVIN Verrex, Inc. and AAVIN Montana Silversmith, Inc. AAVIN TTP Holdings, Inc., AAVIN B12 Holdings, Inc., AAVIN Verrex, Inc. and AAVIN Montana Silversmith, Inc. are wholly-owned subsidiaries of AAVIN Mezzanine Fund, LP. All material intercompany transactions have been eliminated in combination.

1. Nature of business and significant accounting policies, continued

Basis of accounting

The accompanying financial statements have been prepared on a basis of accounting prescribed by the U.S. Small Business Administration which is a basis of accounting other than accounting principles generally accepted in the United States of America ("U.S. GAAP"). Some of the key considerations are as follows:

Investment securities included in the financial statements have been valued by the General Partner using the valuation criteria applicable to the licensee. The valuation criteria was established in accordance with Section 310(d)(2) of the Small Business Investment Act of 1958, as amended. The reported value used for equity securities in the Statement of Financial Position (also known as "SBA Guideline Value"), must be determined in accordance with a licensee's valuation policy and is reported by the SBIC as of a measurement date in accordance with SBIC 13 CFR 107.503. Reported value may differ in certain instances from fair value, which is the measurement of value that would comply with U.S. GAAP. FASB ASC 820-10, *Fair Value Measurements*, defines the value in accordance with U.S. GAAP as the "price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date." The primary differences between the two measurements are that in the case of values determined in accordance with SBA Guideline Value (i) an increase in value above cost may only be reflected in reported value if there is a specific permitted basis under the licensee's valuation policy; (ii) liquidity (or "blockage") discounts, which are prohibited under U.S. GAAP, must be considered for inclusion in reported value; (iii) the reported value of interest-bearing securities is not adjusted for changes in interest rates. It is expected that reported value will not exceed, but may be less than, "fair" value in accordance with GAAP. The differences between reported values and U.S. GAAP reported fair values may be significant.

There may also be other differences between SBA-basis financial statements and U.S. GAAP-basis financial statements including, but not limited to, the treatment of unrealized gains and losses, and presentation of financial highlights.

Investments

Investment securities of the Partnership are included in the Consolidated Statements of Financial Position at SBA Guideline Value, as described previously. Investments for which no active public market exists are valued at SBA Guideline Value as determined in good faith by the General Partner and approved by the investment committee of the General Partner, based on all relevant factors. The investments are carried at cost until events subsequent to the date of investment indicate that cost is not the best measure of SBA Guideline Value. If such events have occurred, the value will be determined by taking into consideration the cost of the securities; developments concerning the company to which the securities relate subsequent to the acquisition of the securities; any financial statements and projections of the company provided to the General Partner; and, such other factor or factors as the General Partner may deem relevant. Among the factors considered in determining the reported value of investments will be the cost of the

1. Nature of business and significant accounting policies, continued

Investments, continued

investment; developments subsequent to the acquisition of the investment, including recent financing transactions; the financial condition and operating results of the portfolio investment, market values for similar securities, the long-term potential of the business of the portfolio investment; overall market conditions and other factors generally pertinent to the valuation of investments. As of June 30, 2017, the Partnership had made eight investments, which are all carried at cost, except CPI Luxury Group which was fully repaid as of June 30, 2017. Management expects to call the remaining capital from limited partners over the next three to five years and identify additional companies for investments.

In the valuation process, the General Partner uses financial information received monthly, quarterly, and annually from the portfolio companies which will include both audited and unaudited financial statements. This information is used to determine financial condition, performance, and valuation of the portfolio investments.

The value of certain investments may also be adjusted to equate to a subsequent significant equity financing that includes a sophisticated, unrelated new investor. An investment may be valued at less than cost if the investee shows a significant fundamental deterioration in financial position or operating results or has defaulted under the terms of its agreement with the Partnership.

Investments whose values have been estimated by the General Partner, and approved by the investment committee, of \$5,862,679 of equity securities and \$10,785,659 of secured loans (See Note 2) represent 31% and 58%, respectively, of total assets at June 30, 2017. The Partnership has made one new investments in to date in 2017.

Use of estimates in preparing financial statements

The preparation of financial statements in conformity with accounting practices prescribed by the SBA requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates. The most significant estimate is the estimate of the SBA guideline value of equity investments, which is subject to significant market risk and could differ materially from actual values realized.

Concentration of credit risk

The Partnership maintains its cash and cash equivalents at one financial institution. The balances are insured by the Federal Deposit Insurance Corporation ("FDIC") up to \$250,000. As of June 30, 2017, total uninsured cash balances were approximately \$1,409,837. The excess cash balance at June 30, 2017, was due to the payoff of CPI Luxury Group's debt.

1. Nature of business and significant accounting policies, continued

Cash and cash equivalents

The Partnership considers highly liquid investments with maturities of three months or less when purchased to be cash equivalents.

Deferred financing costs

Costs associated with issuing SBA debentures are capitalized and amortized over the term of the related debenture. The Partnership has not incurred any deferred financing costs to date during 2017. These costs are being amortized over 4 to 10 years. Accumulated amortization of these costs as of June 30, 2017 was \$125,997.

Partners' capital – distributions and allocation of gain and loss

Capital contributions are credited to the partners' capital accounts when received by the Partnership. Capital distributions are debited to the partners' capital accounts when paid. Income and losses are allocated to the partners' accounts in accordance with the Agreement as described below.

Distributions to partners are generally made (i) first, to the partners in proportion to their respective capital contributions until they have received distributions equal to their capital contributions with respect to all realized investments and the pro rata expenses of the Partnership with respect to all realized investments; (ii) thereafter 80% to the partners in proportion to their respective capital contributions and 20% to the General Partner.

Net profits and net losses of the Partnership will be allocated to the partners' respective capital accounts in a manner consistent with distributions.

Revenue recognition

Interest income is recorded on the accrual basis. When in the judgement of management, the collectability of such income is doubtful, a reserve for loss account is established to the extent there is doubt as to the collection of the amounts accrued. The Partnership recorded reserves as a reduction of interest income totaling \$109,244 for the six months ended June 30, 2017. Dividend income is recognized on the date the dividend is declared and payable.

Amounts reported as realized gains or losses on investments will be measured by the difference between the net proceeds of sale or write-off and the cost basis of the investment on the specific identification method, without regard to unrealized gains and losses. The cost of securities that have, in the General Partner's judgment, become worthless, are written off and reported as realized losses.

Unrealized appreciation/depreciation on investments

Unrealized appreciation is recognized for valuations above cost and unrealized depreciation is recognized for valuations below cost. Such changes are recorded as direct increases or decreases to partners' capital for SBA reporting purposes.

1. Nature of business and significant accounting policies, continued

Income taxes

The Partnership, with the consent of its partners, has elected to be taxed under sections of the federal and state income tax law as a Partnership. As a result of this election, no income taxes are paid by the Partnership. Instead, the partners separately pay tax on their pro rata allocation of the Partnership's income, deductions, losses and credits.

2. Loans

Subordinated secured loans are included with investments in the consolidated statements of financial position and consist of the following as of June 30, 2017:

Company	Date of Advance	Principal Advanced	Loan Terms
B12 Transportation Group, LLC	12/7/2015	\$ 817,607	Note accrues interest payable monthly on the principal balance at a rate of 11% per annum. Rate will increase to 12% on 12/7/16, 13% on 12/7/17, and 14% on 12/7/18. Principal balance is due at maturity on 12/7/20.
CPI Luxury Group	6/30/2016	Repaid 1/20/17 & 6/30/17	
Montana SilverSmiths LLC	10/28/2016	1,244,250	Note accrues interest payable monthly on the principal balance at a rate of 13% per annum. Additional, payment-in-kind (PIK) interest compounded monthly at a rate of 4% and added to principal balance. Principal balance is due at maturity on 10/27/21.
Odessa AIM Holdings, Inc.	8/31/2016	2,630,561	Note accrues interest payable monthly at a rate of 14% per annum until maturity on 8/31/21.
SPI Acquisition Holdings Inc.	12/28/2016	2,069,010	Note accrues interest payable monthly on the principal balance at a rate of 12% per annum. Additionally, payment-in-kind (PIK) interest compounded monthly at a rate of 1% and added to principal balance. Principal balance is due at maturity on 12/28/21.
Transfer Tool Holdings, LLC	8/10/2015	1,064,934	Note accrues interest payable monthly at a rate of 14% per annum until maturity on 8/10/20.
Transfer Tool Holdings, LLC	11/3/2016	59,577	Note accrues interest payable monthly at a rate of 14% per annum until maturity on 8/10/20.
Transfer Tool Holdings, LLC	4/14/2017	91,018	Note accrues interest payable monthly at a rate of 14% per annum until maturity on 8/10/20.
Verrex, LLC	7/21/2016	888,702	Note accrues interest payable monthly on the principal balance at a rate of 14% per annum until maturity on 8/10/20.
WSC Holdco, Inc.	3/10/2017	1,920,000	Note accrues interest payable monthly on the principal balance at a rate of 14% per annum until maturity on 3/11/22.
Total Subordinated Secured Loans		<u>\$ 10,785,659</u>	

2. Loans, continued

Interest income earned on loans detailed above was \$737,217 for the six months ended June 30, 2017. The Partnership had accrued interest receivable of \$91,129 (net of reserve of \$109,244) at June 30, 2017.

The above loans are secured by substantially all the assets of the respective companies. The Partnership's claim is subordinate to the respective companies' bank debt. Loan balances are included in the cost of investments on the balance sheet (see Note 1, Investments).

3. Small Business Administration debenture securities

The Partnership is a Small Business Investment Company (SBIC) that makes long-term investments in American small businesses and is licensed by the United States Small Business Administration ("SBA"). The principal reason for the Partnership to become licensed as an SBIC was access to financing (Leverage) provided by SBA.

Once licensed, SBICs obtain Leverage by reserving a "Leverage Commitment" and then drawing down Leverage from the Commitment. Leverage Commitments may be obtained at the time of licensing for an amount up to one tier of Leverage and thereafter for up to two tiers of Leverage. Ultimately, the Partnership may potentially draw two dollars of leverage from the SBA for each dollar of private partner capital.

When a Leverage Commitment is issued, the SBIC pays a "one time" commitment fee that is 1 percent of the total Commitment. Each commitment issuance is conditioned upon the Partnership's creditworthiness (as determined by SBA) and full compliance with all other SBA requirements set forth in 13 CFR 107.1200-1240 of the Federal Register.

3. Small Business Administration debenture securities, continued

Once a Commitment is in place, the SBA provides leverage in the form of "Debentures." Debentures are unsecured ten-year loans that have interest only payable semi-annually. Debentures bear a temporary interest rate based on LIBOR until they are pooled and sold to the public. The interest rate (excluding the annual SBA "Charge" described below) on these Debentures is fixed when the SBA pools Debentures from various SBICs and sells them to the public, with the pooled Debentures having a 10-year maturity from the sale date.

Each time an SBIC draws leverage on a commitment the draw proceeds are reduced by a SBA fee of 2.425%, which is comprised of: 2% SBA user fee, .375% underwriters' fee and .05% administrative fee.

The following table summarizes the Cost of SBA Leverage as previously described:

	Amount	Description
One Time Costs:		
Commitment Fee	1%	Paid at time commitment is issued
Leverage Fee	2.425%	Reduces proceeds each time the Partnership draws funds Comprised of: SBA user fee 2%, underwriters' fee .0375%, administrative fee .05%
Annual Fees:		
Interim Rate	Libor + 30 basis points, plus annual SBA charge on commitment	Temporary rate paid from the date of draw until the debenture is pooled
Pooled Rate	10 year Treasury Rate, plus premium required by purchasers and annual SBA charge on commitment	Fixed rate paid from pooling date to maturity of 10 year debenture

The SBA committed on February 12, 2015, to reserve Leverage in the amount of \$20,030,000, to be issued to the Partnership on or prior to September 30, 2019. The amount of the annual "Charge" is determined in the fiscal year in which a Leverage Commitment is issued and applies to all Leverage issued pursuant to that Commitment. The annual "Charge" on the current Commitment is .742%. The Partnership paid a fee of \$200,300 for this commitment and is being amortized on a straight-line basis until the commitment expires.

Leverage fees incurred on draws taken down from the SBA total \$435,040, and are being amortized over the ten-year term of the leverage drawn on a straight-line basis. Amortization expense recorded for the six months ended June 30, 2017 totaled \$33,613.

3. Small Business Administration debenture securities, continued

To date the Partnership had drawn a total of \$9,680,000 from the first-tier commitment of \$20,300,000 with \$10,620,000 still available to be drawn. The Partnership has applied the second-tier commitment of \$20,755,000 in May 2017.

The following schedule details the Partnership draws from the SBA, interest paid for the six months ended June 30, 2017 and accrued interest as of June 30, 2017.

Date	Maturity	Total Pooled		Draw Amount	Accrued	2017	Accrued	Interest
					Interest at	Interest Paid	Interest at	Expense for the
		Rate			12/31/16	through	6/30/17	six months
						6/30/17		ended 6/30/17
Pooled Debentures:								
8/6/2015	9/1/2025	3.571%	\$ 825,000	\$ 9,739	\$ 14,609	\$ 9,766	\$ 14,637	
12/21/2015	3/1/2026	3.249%	1,700,000	18,260	27,390	18,310	27,440	
2/19/2016	3/1/2026	3.249%	375,000	4,028	6,042	4,039	6,053	
7/27/2016	9/1/2026	2.793%	1,100,000	8,470	13,552	10,185	15,267	
8/23/2016	9/1/2026	2.793%	150,000	1,155	1,848	1,389	2,082	
9/2/2016	9/1/2026	2.793%	2,080,000	16,016	25,625	19,259	28,868	
9/16/2016	3/1/2027	2.845%	1,225,000	8,332	15,249	12,350	19,267	
11/10/2016	3/1/2027	2.845%	2,225,000	6,720	18,316	22,432	34,028	
			\$ 9,680,000	\$ 72,720	122,631	\$ 97,730	\$ 147,640	

4. Management agreement and related party transactions

The General Partner has contracted with AAVIN Equity Advisors, LLC ("AAVIN") to manage the Partnership's activities. Under the terms of the Management Agreement ("agreement"), AAVIN provides essentially all of the management and administrative services required by the Partnership. The Management Agreement expires upon termination of the Partnership. The management fee is based on the total amount of capital under management (regulatory capital plus assumed SBA leverage). The management fee will be up to 2.5% of the total amount of capital under management for the five years following the initial closing, and thereafter up to 2.5% of the cost basis of loans and investments in active portfolio companies. However, if the total amount of capital under management exceeds \$60 million, SBA policies require a proportionate reduction in the percentage rate down to a rate of 2.0% when the base is \$120 million or more. SBA rules require that fees received under 13 CFR 107.860 of the SBA regulations (loan application or closing fees) must be paid directly to the SBIC fund or treated as an offset to management fees. During the six months ended June 30, 2017, \$64,000 of these fees were generated related to the closing of one investment. Pursuant to the Management Agreement, other fees received by the General Partner or AAVIN from any portfolio company reduce eligible management fees as well. Other fees received for the six months ended June 30, 2017 were \$93,804. Total offsetting fees to management fees for the six months ended June 30, 2017 were \$157,804.

During the years six months ended June 30, 2017, management fees to AAVIN totaled \$600,480 (net of \$157,804 in fees). Accrued management fees of \$559,396 were payable to AAVIN at June 30, 2017.

Six of the limited partners of the Partnership are also members of the General Partner. One of the members of the General Partner owns 100% of AAVIN Equity Advisors, LLC.

The General Partner may elect to reduce up to 100% of management compensation that would be payable in order to satisfy the 1% capital contribution of the General Partner. The General Partner's total committed capital at June 30, 2017 total \$207,050 with contributions to date totaling \$108,701. Management fees waived to reduce contributions totaled \$0 for the six months ended June 30, 2017. Management fees totaling \$83,201 have been waived since the Partnership commenced operations.

5. Syndication costs

Syndication costs of \$41,632 were incurred in 2014 and are recorded as a reduction of partners' capital. These costs included \$20,625 payable to Nations Financial Group Inc., a placement agent, and \$21,007 payable to an affiliate, AAVIN. As of June 30, 2017, \$10,313 is included in accounts payable to Nations Financial Group, Inc. and is being paid in quarterly installments of \$1,031 through December 31, 2019.

6. Note payable

The Partnership has a revolving credit agreement with a bank that expires on August 17, 2017, which authorizes maximum borrowings of \$4,000,000. Advances bear interest at 1.0% above the Wall Street Prime rate, adjusted daily. As of June 30, 2017, the Partnership had no outstanding balance under this agreement. Interest paid for the six months ended June 30, 2017, under this agreement totaled \$0.

7. SBA compliance

The SBA requires the Partnership to calculate a quarterly capital impairment ratio and notify the SBA if impairment exists. As of June 30, 2017, the fund was in compliance with its' permitted capital impairment threshold.

8. Partner capital commitments, contributions and unfunded commitments

At the inception of the Partnership, the partners entered into subscription agreements obligating the partners to purchase a partnership interest equal to an agreed upon amount of future total commitments. As of June 30, 2017, the amounts of contributions to date and remaining unfunded commitments are summarized as follows:

	June 30, 2017		
	General Partner	Limited Partners	Total
Commitments	\$ 207,050	\$ 20,500,000	\$ 20,707,050
Contributions to Date	108,701	10,762,500	10,871,201
Unfunded Commitments	<u>\$ 98,349</u>	<u>\$ 9,737,500</u>	<u>\$ 9,835,849</u>

Unfunded commitments are expected to be called over the next three to five years.

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SUPPLEMENTARY INFORMATION

AAVIN MEZZANINE FUND, LP AND SUBSIDIARIES
CONSOLIDATED SCHEDULE OF INVESTMENTS
June 30, 2017

Company	Security	SBA Guideline Value	Cost
<u>Construction:</u>			
WSC Holdco, Inc. (aka Weeks Service Company) Heating & Air-Conditioning Contractor League City, TX	28,295 common shares	\$ 1,280,000	\$ 1,280,000
	Secured subordinated note accruing interest at 14% through maturity on March 11, 2022.	1,920,000	1,920,000
		3,200,000	3,200,000
<u>Information Services:</u>			
Verrex, LLC Information Services Mountainside, NH	5,332.22 Class A units	\$ 533,222	\$ 533,222
	Secured subordinated note accruing interest at 14% through maturity on July 21, 2021.	888,702	888,702
		1,421,924	1,421,924
<u>Manufacturing:</u>			
B12 Transportation Group, LLC Motor Vehicle Body Manufacturing Lawrence, KS	817,607 common units 817,607 preferred units Secured subordinated note accruing interest at: 11% through December 6, 2016; 12% through December 6, 2017; 13% through December 6, 2018; and 14% through maturity on December 7, 2020	818 817,607	818 817,607
		817,607	817,607
		1,636,032	1,636,032
Montana SilverSmiths Holdings, LLC Jewelry and Silverware Manufacturing Columbus, MT	5,332.50 Class A shares Secured subordinated note accruing interest at 13% with additional PIK interest compounded monthly at 4% and added to principal balance. Principal due at maturity on October 27, 2021.	533,250	533,250
		1,244,250	1,244,250
		1,777,500	1,777,500
Odessa AIM Holdings, Inc. Machine Shop Odessa, TX	320 common shares 563,080 preferred shares Secured subordinated note accruing interest at 14% through maturity on August 31, 2021	5,688 563,080	5,688 563,080
		2,630,561	2,630,561
		3,199,329	3,199,329

AAVIN MEZZANINE FUND, LP AND SUBSIDIARIES
CONSOLIDATED SCHEDULE OF INVESTMENTS, CONTINUED
June 30, 2017

Company	Security	SBA Guideline Value	Cost
<u>SPI Acquisition Holdings, Inc.</u>	1,379.34 preferred shares	1,379,340	1,379,340
Other Concrete Manufacturing Jacksonville, FL	Secured subordinated note accruing interest at 12% with additional PIK interest compounded monthly at 1% and added to principal balance. Principal due at maturity on December 28, 2021.	2,069,010	2,069,010
		<u>3,448,350</u>	<u>3,448,350</u>
<u>Transfer Tool Holdings, LLC</u>	749,674 units	749,674	749,674
Metal Stamping Manufacturing Grand Haven, MI	Secured subordinated notes accruing interest at 14% through maturities on August 10, 2020	1,215,529	1,215,529
		<u>1,965,203</u>	<u>1,965,203</u>
	Total Manufacturing	<u>12,026,414</u>	<u>12,026,414</u>
	Grand Total	<u>\$ 16,648,338</u>	<u>\$ 16,648,338</u>

AAVIN MEZZANINE FUND, LP AND SUBSIDIARIES
CUMULATIVE SCHEDULE OF PARTNERS' CAPITAL
June 30, 2017

	Subscription Amount	Capital Contributions	Syndication Costs	Net Loss	Total Partner Capital
Limited Partners					
Allsup, Stephen	\$ 400,000	\$ 210,000	\$ (804)	\$ (47,687)	\$ 161,509
Altorf, Richard	1,000,000	525,000	(2,011)	(119,218)	403,771
Ann Thorp Brouwer - Trust	200,000	105,000	(402)	(23,844)	80,754
Barnes, William	250,000	131,250	(503)	(29,805)	100,942
Clear Sky Properties LLC	250,000	131,250	(503)	(29,805)	100,942
Dakota Capital Group, LLC	250,000	131,250	(503)	(29,805)	100,942
Dement, Terry & Laura	250,000	131,250	(503)	(29,805)	100,942
Enterprise Bank	500,000	262,500	(1,005)	(59,609)	201,886
Figley, Todd	250,000	131,250	(503)	(29,805)	100,942
Gray Venture Partners, LLC	500,000	262,500	(1,005)	(59,609)	201,886
Great America Financial Services Corporation	3,000,000	1,575,000	(6,032)	(357,655)	1,211,313
Gretchen S. Jordan 1998 Trust	500,000	262,500	(1,005)	(59,609)	201,886
Guaranty Bankshares, Ltd.	250,000	131,250	(503)	(29,805)	100,942
Hamamoto, David	500,000	262,500	(1,005)	(59,609)	201,886
Jacob Koller - IRA	50,000	26,250	(101)	(5,961)	20,188
Jasper, Duane & Anne	250,000	131,250	(503)	(29,805)	100,942
Jean H. Schneider - Trust	200,000	105,000	(402)	(23,844)	80,754
Kolin, Peter	250,000	131,250	(503)	(29,805)	100,942
Larry Maddox Trust	250,000	131,250	(503)	(29,805)	100,942
Lehman, William R.	250,000	131,250	(503)	(29,805)	100,942
Linda C Arnold Trust	150,000	78,750	(302)	(17,883)	60,565
Marchese, John & Rubel Kim	100,000	52,500	(201)	(11,922)	40,377
Mark Kendall IRA	100,000	52,500	(201)	(11,922)	40,377
Nemitz, Dr Jeffrey & Marsha	100,000	52,500	(201)	(11,922)	40,377
O'Hara, Gregory	250,000	131,250	(503)	(29,805)	100,942
Robert and Ardis James Foundation, Inc.	2,000,000	1,050,000	(4,021)	(238,437)	807,542
School Employees Retirement System of Douglas County School District 0001	5,000,000	2,625,000	(10,053)	(596,092)	2,018,855
S5 Direct, LLC	100,000	52,500	(201)	(11,922)	40,377
Scott P Smith Trust	100,000	52,500	(201)	(11,922)	40,377
Stately Investments, LLC	150,000	78,750	(302)	(17,883)	60,565
Lipsky Family Limited Partnership	500,000	262,500	(1,005)	(59,609)	201,886
Brett, Stephen	100,000	52,500	(201)	(11,922)	40,377
The Jordan Family Trust	500,000	262,500	(1,005)	(59,609)	201,886
Todd Salow - IRA	100,000	52,500	(201)	(11,922)	40,377
Eric and Julie Hender, JTWROS	300,000	157,500	(602)	(35,766)	121,132
Kaalberg, Kirk	1,075,000	564,375	(2,160)	(128,160)	434,055
Kolin, Thies	150,000	78,750	(301)	(17,883)	60,566
Mullane, Kevin	125,000	65,625	(251)	(14,902)	50,472
Schroder, David	75,000	39,375	(151)	(8,941)	30,283
Thorp, James	175,000	91,875	(351)	(20,863)	70,661
Total Limited Partners	20,500,000	10,762,500	(41,216)	(2,443,977)	8,277,307
General Partner					
AAVIN Mezzanine, LLC	207,050	108,701	(416)	(24,684)	83,601
Total	\$ 20,707,050	\$ 10,871,201	\$ (41,632)	\$ (2,468,661)	\$ 8,360,908



AAVIN MEZZANINE FUND, LP

VALUATION SUMMARY

June 30, 2017

Investment	First Investment Date	Total Invested Cost	Prior Valuation 12/31/16	Current Period Change			Current Valuation 6/30/17	Total Cash Proceeds Received to Date
				New \$ Invested	Redemptions/ Repayments	Valuation Change		
B12 Transportation Group LLC	12/7/2015	\$ 1,636,032	\$ 1,636,032				\$ 1,636,032	\$ 193,084
CPI Luxury Group	6/30/2016	3,554,811	\$ 3,554,811		\$ (3,554,811)		-	4,112,622
Montana SilverSmiths, LLC	10/27/2016	2,133,000	\$ 1,777,500				1,777,500	489,239
Odessa AIM Holdings, Inc.	8/31/2016	3,199,329	\$ 3,199,329				3,199,329	401,094
SPI Acquisition Holdings, Inc.	12/27/2016	3,448,350	\$ 3,448,350				3,448,350	232,274
Transfer Tool Holdings, LLC	8/10/2015	1,965,203	1,874,185	91,018			1,965,203	228,818
Verrex, LLC	7/20/2016	1,421,924	1,421,924				1,421,924	136,662
WSC Holdco, Inc.	3/10/2017	3,200,000		3,200,000			3,200,000	169,746
Totals		\$ 20,558,649	\$ 16,912,131	\$ 3,291,018	\$ (3,554,811)	\$ -	\$ 16,648,338	\$ 5,963,539

AAVIN MEZZANINE FUND, LP

VALUATION REPORT

Portfolio Company: **B12 TRANSPORTATION GROUP, LLC**

June 30, 2017



INVESTMENT DATE:

December 07, 2015

AAVIN PRINCIPALS:

Kevin F. Mullane, Board Member

David Schroder, Board Observer

10.59% Outstanding Equity Ownership

10.59% Fully Diluted Equity Ownership

Security	Total Invested Cost	Prior Valuation	Current Period Change			Current Valuation
			New \$ Invested	Redemptions/ Repayments	Valuation Change	
Sub-Debt	\$817,607	\$ 817,607	-	-	-	\$817,607
Preferred Units	817,607	817,607	-	-	-	817,607
Common Units	818	818	-	-	-	818
Total	\$1,636,032	\$1,636,032	-	-	-	\$1,636,032

Enterprise Valuation*: \$19,725,000

*Enterprise value - The company valuation required to return proceeds to the fund equal to the current valuation.

Proceeds received to date:

Period	Closing Fees	Management Fees	Interest	Other Distributions	Return of Principal	Total
Close - Dec 2015	\$ 32,721					\$ 32,721
2016			\$ 97,977	\$ 18,362		116,339
YTD 2017			44,024			44,024
Total	\$ 32,721	\$ -	\$ 142,001	\$ 18,362	\$ -	\$ 193,084

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
B12 TRANSPORTATION GROUP, LLC - INVESTMENT VALUATION
June 30, 2017

Valuation

The valuation of B12 Transportation Group, LLC (B12) remains unchanged from the prior period. As of June 30, 2017, the valuation is \$1,636,032 for AAVIN Mezzanine Fund, LP (AMF) and \$665,010 for AAVIN Equity Partners II, LP (AEPII) each of which is equal to the original cost of the investment. Total amount invested by AAVIN Funds equals \$2,301,042.

Business Description

B12 is a holding company that has acquired two companies and they operate as wholly owned subsidiaries.

B12 was acquired on December 7, 2015. Brown is a 69 year old company that is a manufacturer of cargo van bodies and an upfitter of Rail "Maintenance Of Way" equipment. The company is headquartered in Lawrence Kansas.

Diamond Coach (Diamond) was acquired on December 27, 2015. Diamond is a 50 year old company that is a manufacturer of 15-20 seat courtesy buses. The primary customers are senior care, airports, auto rental and hospital industries. The company is located in Oswego, Kansas.

Financing

Through the investment in B12, AMF and AEPII participated in a buyout of the stock. The total purchase price for the business which

include real estate was \$16,403,876. Four other funds including three SBIC's participated in the transaction.

AMF, invested a total of \$1,636,032 in the transaction. The investment is \$817,607 in 11% subordinated debt with a five-year term (the interest rate increases to 12% - year 2, 13% - year 3, and 14% thereafter) and \$817,607 in 5% preferred units and \$818.00 in common membership units. The preferred dividend compounds annually and increases from 5% to 6% after the 5th anniversary date. The preferred units are redeemable at any time by the company for the amount of the accrued dividends plus the original cost. The preferred units are puttable by any holder thereof any time after the 7th anniversary at the amount of the accrued dividends plus the original cost.

AEPII, invested a total of \$665,010 in the transaction. The investment is \$332,393 in 11% subordinated debt with a five-year term (the interest rate increases to 12% - year 2, 13% - year 3, and 14% thereafter) and \$332,393 in 5% preferred units and \$332.00 in common membership units. The preferred dividend compounds annually and increases from 5% to 6% after the 5th anniversary date. The preferred units are redeemable at any time by the company for the amount of the accrued dividends plus the original cost. The preferred units are puttable by any holder thereof any time after the 7th anniversary at the amount of the accrued dividends plus the original cost.

AMF/AEPII hold one Board seat and one observer position on the Board of Directors of B12.

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
B12 TRANSPORTATION GROUP, LLC - INVESTMENT VALUATION
June 30, 2017

Current Status

AMF and AEPII closed this investment on December 7th, 2015. AAVIN invested alongside Kansas Venture Capital, LP, MidStates Capital, LP, B-12 investors, LP, and Exmarq Capital, LP.

YTD sales through May 2017 are ahead of plan by \$80,000. YTD EBITDA is behind plan by \$100k. Gross Margin YTD is 16.8% vs. plan of 18.6%. The gross margin variance is primarily timing and product mix as well as costs associated with the development of the trolley product line. Company sales have been improved in 2017 and YTD sales of \$16,290,816 vs. plan of \$16,210,285. The company has an aggressive forecast of \$40 million in sales in 2017 with an EBITDA of \$2,850,000. The company has expanded its customer base and also has developed a new product line “trolley” that will begin production in June of 2017. The company is on plan through May in revenues. The gross margin and EBITDA margin improvement is the focus of management as they continue into the second half of 2017. The second half of 2017 is forecasted to see revenues from both the trolley line and additional sales of the rail product line. As of July 12, 2017 total backlog was \$7,981,000.

Keys to Success

- Maximize combined entities synergies
- Expand sales into other product lines

- Continue to gain market share in rail products and truck products and expand in the trolley product line
- Continued focus on margin improvement
- Pay down acquisition debt

Exit Strategy

The exit strategy for this investment will be to grow the company over the next five years and also pay down acquisition debt and engage an investment banker at that time to run a sale process to sell the company to an industry buyer or to a financial buyer.

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
B12 TRANSPORTATION GROUP, LLC - INVESTMENT VALUATION
June 30, 2017

Historical Financial Performance/Budget

Statement of Operations for the Year Ended December 31 (000's)										
	2012	2013	2014	2015	2016	YTD June 30, 2017	YTD Budget June 30, 2017	TTM as of June 30, 2017	2017 Annual Budget	
Net Sales	\$ 20,801	\$ 21,248	\$ 25,306	\$ 35,747	\$ 34,718	\$ 20,098	\$ 19,501	\$ 35,819	\$ 40,293	
COGS	17,827	17,516	21,063	29,636	28,901	16,719	15,848	29,935	32,636	
Gross Profit	2,974	3,732	4,243	6,111	5,817	3,379	3,653	5,884	7,657	
Gross Margin	14.3%	17.6%	16.8%	17.1%	16.8%	16.8%	18.7%	16.4%	19.0%	
Operating Expenses	2,888	3,413	3,648	5,079	6,461	3,765	3,786	6,012	7,536	
Exp as % Sales	14%	16%	14%	14%	19%	19%	19%	17%	19%	
Net Profit (Loss)	\$ 86	\$ 319	\$ 595	\$ 1,032	\$ (644)	\$ (386)	\$ (133)	\$ (1,282)	\$ 121	
EBITDA Adjustments	295	1,061	1,175	1,917	2,699	805	1,387	2,991	2,718	
EBITDA	\$ 381	\$ 1,380	\$ 1,770	\$ 2,949	\$ 2,055	\$ 1,191	\$ 1,254	\$ 1,709	\$ 2,839	
EBITDA Margin	1.8%	6.5%	7.0%	8.2%	5.9%	5.9%	6.4%	4.8%	7.0%	

Balance Sheet as of June 30, 2017 (000's)			
Cash	\$271	A/P	\$3,108
A/R	2,489	Deposits	27
Inventory	5,339	Accruals	550
Other Current Assets	214	Current Portion of LT Debt	641
Total Current Assets	8,313	Total Current Liabilities	4,326
PP&E, Net	3,619	Line of Credit	2,321
(Includes Real Estate)		Senior Debt	3,906
		Mezz Debt	6,219
		Current Maturities - LT Debt	(641)
		Total Liabilities	16,131
Goodwill	8,788	Preferred & Misc. Equity	6,626
Other	206	Retained Earnings	(1,291)
Total Other Assets	8,994	Distributions	(142)
		Net Income	(398)
		Total Equity	4,795
Total Assets	\$ 20,926	Total Liabilities & Equity	\$ 20,926

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
B12 TRANSPORTATION GROUP, LLC - INVESTMENT VALUATION
June 30, 2017

Capitalization & Equity Schedule

Entity	Sub-Debt	% Preferred	\$1.000 per share		% Common	\$0.001 per share		Total Contribution \$
			Preferred Shares	Preferred Contribution \$		Common Shares	Common Contribution \$	
MidStates Capital Fund III, LP	\$ 1,000,000	16.08%	1,000,000	\$ 1,000,000	12.96%	1,000,000	\$ 1,000	\$ 2,001,000
Kansas Venture Capital, Inc.	750,000	12.06%	750,000	750,000	9.72%	750,000	750	1,500,750
AAVIN Mezzanine Fund LP	817,607	13.15%	817,607	817,607	10.59%	817,607	818	1,636,032
AAVIN Equity Partners II LP	332,393	5.34%	332,393	332,393	4.31%	332,393	332	665,118
SBIC Partners	2,900,000	46.63%	2,900,000	2,900,000	37.57%	2,900,000	2,900	5,802,900
EXMARQ Capital Partners, Inc. (Non-SBIC)	600,000	9.65%	600,000	600,000	7.77%	600,000	600	1,200,600
UMB Capital Corporation (also an SBIC)	500,000	8.04%	500,000	500,000	6.48%	500,000	500	1,000,500
Total B12 Series "D" LLC (Non-SBIC)	2,065,954	33.22%	2,065,954	2,065,954	26.77%	2,065,955	2,066	4,133,974
WGS Holdings, LLC (B12 Carry Purchased at Closing)	-	0.00%	-	-	19.43%	1,499,547	1,500	1,500
Jeff Hupke (Non-Voting Mgt Shares)	153,015	2.46%	153,015	153,015	1.98%	153,015	153	306,183
Totals	\$ 6,218,969	100.00%	6,218,969	\$ 6,218,969	100.00%	7,718,517	\$ 7,719	\$ 12,445,657

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
B12 TRANSPORTATION GROUP, LLC - INVESTMENT VALUATION
June 30, 2017

Waterfall

In the event of a sale of the company and after the repayment of any revolving credit, all senior debt and any other retained liabilities, the Sub Debt of \$6,218,969 plus all accrued and unpaid interest would be paid next. Then Preferred Units of \$6,218,969 plus all accumulated dividends would be paid next ratably among the holders thereof. Any remaining balance of proceeds would then be paid ratably to the holders of common units.

Board of Directors

<u>Name</u>	<u>Position/Affiliation</u>
Jeff Hupke	CEO
Greg Gaeddert	B12, Board Chair
Kevin F. Mullane	AMF/AEP II
Tim Keeble	MidStates Capital
Mike Wedel	B-12 Series Investors

Company Contact Information

<u>Name & Location</u>	<u>Principal Officers</u>
B12 Transportation Group, LLC, 807 E. 29th Street Lawrence, Kansas 66046 800-255-6827 www.bcvl.com	Jeff Hupke, CEO Dean Coleman CFO

**AAVIN Equity Partners II, LP and AAVIN Mezzanine Fund, LP****EXIT SUMMARY****June 23, 2017****COMPANY NAME & ADDRESS**

CPI Luxury Group
10220 Norris Avenue
Pacoima, CA 91331
Phone 818 249 9888
Fax 818 249 4777

PRINCIPAL OFFICERS

Harold Jabarian, President/CEO
George Hasbanian, COO
Harry Karagozian, CFO

INVESTMENT DATE

June 30, 2016

EXIT DATE

June 23, 2017

AAVIN MONITORING PRINCIPALS

Thies Kolln- Observer
David Schroder- Observer

TRANSACTION SYNOPSIS

On June 23, 2017, CPI Luxury Group, Inc. ("CPI" or the "Company") prepaid the remaining balance of \$1,300,000 of AAVIN's notes. Financing was provided by additional credit provided by East West Bank, the Company's senior lender. CPI had previously prepaid \$3,700,000 of principal on January 20, 2017. Financing for this previous prepayment was provided by HomeStreet Bank.

EXIT ANALYSIS

Consolidated Returns

Total Proceeds Received		Cost	Gain/(Loss)
\$	5,784,585.17	\$ 5,000,000.00	\$ 784,585.17

Date	Investment	Receipts	Net Cash Flows
6/30/2016	\$ (5,000,000.00)	\$ 100,000.00	\$ (4,900,000.00)
9/15/2016		75,347.05	75,347.05
9/29/2016		75,347.05	75,347.05
10/14/2016		72,916.50	72,916.50
11/30/2016		75,346.15	75,346.15
12/30/2016		72,917.40	72,917.40
1/20/2017		3,745,000.00	3,745,000.00
2/28/2017		80,761.01	80,761.01
3/31/2017		43,200.01	43,200.01
5/1/2017		50,150.00	50,150.00
6/1/2017		19,500.00	19,500.00
6/23/2017		1,374,100.00	1,374,100.00
	\$ (5,000,000.00)	\$ 5,784,585.17	\$ 784,585.17

IRR	25.75%
Multiple	1.16

AAVIN Mezzanine Fund, LP

Total Proceeds Received		Cost	Gain/(Loss)
\$	4,112,622.25	\$ 3,554,811.00	\$ 557,811.25

Date	Investment	Receipts	Net Cash Flows
6/30/2016	\$ (3,554,811.00)	\$ 71,096.22	\$ (3,483,714.78)
9/15/2016		53,568.93	53,568.93
9/29/2016		53,568.93	53,568.93
10/14/2016		51,840.90	51,840.90
11/30/2016		53,568.03	53,568.03
12/30/2016		51,841.80	51,841.80
1/20/2017		2,662,553.44	2,662,553.44
2/28/2017		57,418.09	57,418.09
3/31/2017		30,713.70	30,713.70
5/1/2017		35,654.90	35,654.90
6/1/2017		13,863.90	13,863.90
6/23/2017		976,933.41	976,933.41
	\$ (3,554,811.00)	\$ 4,112,622.25	\$ 557,811.25

IRR	25.75%
Multiple	1.16

AAVIN Equity Partners II, LP

Total Proceeds Received		Cost		Gain/(Loss)	
\$	1,671,962.92	\$	1,445,189.00	\$	226,773.92

Date	Investment	Receipts	Net Cash Flows
6/30/2016	\$ (1,445,189.00)	\$ 28,903.78	\$ (1,416,285.22)
9/15/2016		21,778.12	21,778.12
9/29/2016		21,778.12	21,778.12
10/14/2016		21,075.60	21,075.60
11/30/2016		21,778.12	21,778.12
12/30/2016		21,075.60	21,075.60
1/20/2017		1,082,446.56	1,082,446.56
2/28/2017		23,342.92	23,342.92
3/31/2017		12,486.31	12,486.31
5/1/2017		14,495.10	14,495.10
6/1/2017		5,636.10	5,636.10
6/23/2017		397,166.59	397,166.59
	\$ (1,445,189.00)	\$ 1,671,962.92	\$ 226,773.92
IRR			25.75%
Multiple			1.16

BUSINESS DESCRIPTION

CPI imports and wholesales pearls and other related jewelry products. CPI purchases freshwater pearls direct from farmers in China, has the pearls processed in Hong Kong (drilling, bleaching and stringing operations) and imports the pearl strings to the United States. At its location in Los Angeles, the Company categorizes the pearls and does final assembly, boxing and shipping to stores or directly to end customers. CPI is the primary pearl provider to a number of large national accounts, including Macy's, JC Penney, Fred Meyer, Helzberg and Kohl's. CPI sells not only generic pearl jewelry, but also branded product to certain accounts (Belle de Mer to Macy's, Joy de Mer to Fred Meyer). Since 2011 CPI has also sold through an Amazon storefront as pearlzzz.com and since 2013 direct to Amazon's curated products program.

FINANCING

AAVIN Mezzanine Fund, LP (AMF) and AAVIN Equity Partners II, LP (AEPII) participated in a recapitalization of CPI's existing debt of \$24,220,179 with Salus Capital (representing approximately \$1,100,000 below the then outstanding balance with Salus as an incentive to close by June 30, 2016). East West Bank provided a revolving line of credit of \$25,000,000, of which \$20,003,179 was funded at closing.

AMF invested a total of \$3,554,811 in the transaction. The investment was entirely in 17.5% subordinated debt with a five year term.

AEPII invested a total of \$1,445,189 in the transaction. The investment was entirely in 17.5% subordinated debt with a five year term.

Summary of Projected Cash Flows						
Net Investment*	2016**	2017	2018	2019	2020	2021
\$ (4,900,000.00)	\$ 2,291,667	\$ 525,000	\$ 525,000	\$ 525,000	\$ 525,000	\$ 3,262,500

IRR **20.14%**

*\$5,000,000 investment less a 2% closing fee.

** Assumes \$2,000,000 repayment in 2016 from building refinancing, remainder of repayment as balloon.

HISTORIC DISCUSSION

CPI required the AAVIN loans to complete the refinancing of its previous senior debt because its new senior lender would not advance the full amount of the previous loans. It was CPI's stated intent to repay the AAVIN notes as quickly as possible and return to only a single senior lender as its outside financing source.

CPI was affected negatively in late 2016 by store closures at Macy's, its largest customer. However, management quickly reacted to reduce costs, including having the executives take significant compensation cuts. As a result, CPI was never in danger of missing its free cash flow coverage ratio covenants set by the senior lender. 2017 has started as a strong year for CPI with sales above plan, particularly over the Mother's Day holiday in May. Gross margins were slightly below plan, but were more than compensated by higher sales and continued limitation of executive compensation.

In January 2017, the Company refinanced its building with HomeStreet Bank, which resulted in \$3.7 million being available to prepay the AAVIN loans. In connection with this repayment, the

interest rate on the remaining AAVIN loans increased from 17.5% to 18.0%. In June 2017, East West Bank, CPI's senior lender, refinanced the remaining AAVIN loans.

HISTORICAL FINANCIAL PERFORMANCE

	Fiscal Year Ended December 31,					YTD April
\$000s	2012	2013	2014	2015	2016	2017
Net Revenue	21,321	22,620	21,329	21,317	18,508	4,992
Cost of Sales	12,200	12,124	10,777	10,757	9,512	2,544
Gross Profit	9,121	10,496	10,552	10,560	8,995	2,448
Gross Margin	42.8%	46.4%	49.5%	49.5%	48.6%	49.0%
Sales, General & Admin	8,610	9,864	9,773	10,117	8,334	2,405
Pre-tax Income	511	632	779	443	661	43
Add Backs to Calculate EBITDA:						
Other Expense/(Income)	-	-	-	-	(1,070)	
Depreciation	222	183	232	352	315	89
Interest	865	1,568	1,899	1,951	2,080	580
Bank Charges	388	291	434	387	166	15
EBITDA	1,986	2,674	3,344	3,133	2,152	727

Balance Sheet as of April 30, 2017 (Whole \$)

Cash	\$ (17,748)	Accounts Payable	\$ 9,495,365
A/R, net of allowance for bad debt	4,127,026	Accrued Liabilities	334,633
Disputed Items	1,232,856	Line of Credit (East West)	21,442,067
Inventory	29,868,408	Current Portion of 3rd Party LT Debt	9,333
Inventory Overhead	4,706,171	Shareholder Current Accounts (Tax)	(176,994)
Prepaid & Other	523,554	Other Current Liabilities	(553,889)
Total Current Assets	40,440,267	Total Current Liabilities	30,550,515
		AAVIN Notes	1,300,000
		Other 3rd Party LT Debt	3,695,386
		Shareholder Debt	968,382
PP&E, Net	1,561,624		
Deposits	55,000	Equity	5,542,608
Total Assets	\$ 42,056,891	Total Liabilities & Equity	\$ 42,056,891

STAGE/TRANSACTION TYPE

Recapitalization

GEOGRAPHY

Pacific (WA, OR, CA, AK, HI) – California

INDUSTRY

423940 – Jewelry, Watch, Precious Stone and
Precious Metal Merchant Wholesalers

REFERRAL SOURCE

Business Capital
(Investment Bank/Broker)

RECOMMENDING PARTNER

Thies Kolln - Partner
David Schroder – Senior Partner

AAVIN MEZZANINE FUND, LP

VALUATION REPORT

Portfolio Company: **Montana SilverSmiths, LLC**

June 30, 2017



INVESTMENT DATE:

October 27, 2016

AAVIN PRINCIPALS:

Kevin F. Mullane, Board Member

James Thorp, Board Observer

20.09% Outstanding Equity Ownership

15.07% Fully Diluted Equity Ownership

Security	Total Invested Cost	Prior Valuation	Current Period Change			Current Valuation
			New \$ Invested	Redemptions/ Repayments	Valuation Change	
Sub-Debt	\$1,599,750	1,244,250			-	\$1,244,250
Class A Units	533,250	533,250			-	533,250
Total	\$2,133,000	\$1,777,500	\$ -	\$ -	-	\$1,777,500

Operating Company Enterprise Valuation*: \$11,450,000

*Enterprise value - The company valuation required to return proceeds to the fund equal to the current valuation.

Proceeds received to date:

Periods	Closing Fees	Management	Interest	Other	Return of Principal	Total
		Fees		Distributions		
2016 (close - 12/31/16)	\$ 40,883		\$ 21,053		\$ 355,500	\$ 417,436
2017		\$ -	71,803	\$ -	\$ -	71,803
Total	\$ 40,883		\$ 92,856		\$ 355,500	\$ 489,239

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Montana SilverSmiths, LLC - INVESTMENT VALUATION
June 30, 2017

Valuation

The valuation of Montana SilverSmiths remains unchanged from the prior period. The valuation is \$1,777,500 for AAVIN Mezzanine Fund, LP (AMF) and \$722,500 for AAVIN Equity Partners II, LP (AEPII) each of which is equal to the original cost of the investment less the amount of the bridge loan of \$500,000 which was repaid on 12/31/16. The total amount invested by AAVIN combined funds was \$3,000,000 less the amount of the bridge loan of \$500,000.

Business Description

Montana SilverSmiths is a manufacturer and the largest supplier of western buckles, jewelry and watches. The company is the most recognizable brands in the western lifestyle industry. Montana is located in Columbus, Montana and has been in business for over forty years. The company sells its products through large western retailers such as Boot Barn as well as farm stores and independent specialty shops. The company also sells through event sponsorships promotional outlets, television jewelry sales, and a growing on-line presence.

Financing

AMF and AEPII participated in a buyout of the stock of Montana SilverSmiths. The total purchase price for the business which includes the real estate was \$9,000,000. Two other SBIC's participated in the transaction.

AMF, invested a total of \$2,133,000 in the transaction. The investment is comprised of \$1,244,250 in 17% (13% current pay + 4% PIK) subordinated debt with a five-year term and \$533,250 in Class A

membership units and \$355,500 in the form of a 10% bridge note. As of December 30, 2016 the bridge note was repaid.

AEPII, invested a total of \$867,000 in the transaction. The investment is comprised of \$505,750 in 13% current pay + 1% PIK subordinated debt with a five-year term and \$216,750 in series A membership units and \$144,500 in the form of a 10% bridge note. As of December 31, 2016 the bridge note was repaid.

AMF/AEPII hold one Board seat on the Board of Directors of MSS. AMF/AEPII have the right to also have two observers attend board meetings.

Current Status

AAVIN closed this investment on October 28, 2016. Private Bank has provided a \$6.3 million LOC for the company. AAVIN invested alongside Diamond State Ventures and MidStates Capital. Year to date through May 2017 sales are behind plan due to continued retail softness in specialty retail and small accounts. EBITDA is behind plan following a negative variance in sales and gross margin. The company has opened a small footprint retail store in Bozeman Montana in early June. Traffic has been strong and the company expects solid performance for the year from the store. The company is adding another small footprint store in Park City, Utah. The company has recently become listed as a "Prime Account" on Amazon and is also listed on WalMart.com. The company expects to see increased sales in the second half of 2017. As of June 30, 2017 the company is not in compliance with the bank FCCR in April and May. The bank has notified the company of the non-compliance in a letter dated July 7,

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Montana SilverSmiths, LLC - INVESTMENT VALUATION
June 30, 2017

2017. This has resulted in a payment blockage to the sub-debt holders.

The company is historically stronger in the second half of the year and in the fourth quarter. The company expects to be back in compliance in the second half of the year.

Keys to Success

- Expand sales into other product lines and retail locations
- Continue to gain market share in e commerce as well as specialty sales and event sales.
- Right size the company expense structure
- Focus on gross margin
- Pay down acquisition debt

Exit Strategy

The exit strategy for this investment will be to grow the company over the next five years and pay down acquisition debt and engage an investment banker at that time to run a sale process to sell the company to an industry buyer or to a financial buyer.

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Montana SilverSmiths, LLC - INVESTMENT VALUATION
June 30, 2017

Historical Financial Performance/Budget

Statement of Operations									
In '000's	2012	2013	2014	2015	2016	TTM 5/31/17	YTD 5/31/17	YTD Budget 5/31/17	Annual Budget 2017
Net Sales	\$ 25,965	\$ 27,084	\$ 26,217	\$ 27,111	\$ 24,862	\$ 23,442	\$ 9,344	\$ 10,973	\$ 26,627
COGS	14,801	15,178	15,819	16,626	14,972	14,694	5,956	6,515	17,195
Gross Profit	11,164	11,906	10,398	10,485	9,890	8,748	3,388	4,458	9,432
Gross Margin	43.0%	44.0%	39.7%	38.7%	39.8%	37.3%	36.3%	40.6%	35.4%
Operating Expenses	(9,370)	(9,517)	(10,158)	(11,102)	(12,071)	(11,311)	(3,690)	(4,044)	(8,648)
Extraordinary Gain: Purchase Adjustment Oct 27,2016					3,518	3,523			
Net Profit (Loss)	\$ 1,794	\$ 2,389	\$ 240	\$ (617)	\$ 1,337	\$ 960	\$ (302)	\$ 414	\$ 784
EBITDA Adjustments	358	365	2,347	3,261	16	(354)	1,061	896	1,897
EBITDA	\$ 2,152	\$ 2,754	\$ 2,587	\$ 2,644	\$ 1,353	\$ 606	\$ 759	\$ 1,310	\$ 1,816
EBITDA Margin	8.3%	10.2%	9.9%	9.8%	5.4%	2.6%	8.1%	11.9%	6.8%

Balance Sheet as of 5/31/17			
Cash	\$370,000	A/P	\$1,379,000
A/R	1,820,000		
Inventory	7,002,000	LOC	3,412,000
Prepaid Expenses & Other	340,000	Other	1,135,000
Total Current Assets	9,532,000	Total Current Liabilities	5,926,000
PP&E, Net	5,856,000	Total Long Term Debt	4,977,000
		Total Liabilities	10,903,000
		Equity	4,485,000
		Retained Earnings	
Total Assets	\$ 15,388,000	Total Liabilities & Equity	\$ 15,388,000

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Montana SilverSmiths, LLC - INVESTMENT VALUATION
June 30, 2017

Capitalization & Equity Schedule

Entity	Sub-Debt	Equity Units	Ownership %	Current Distribution %'s	Equity Investment	Fully Diluted Units
Diamond State Ventures III, LP	\$ 2,450,000	10,500.00	29.7%	37.7%	\$ 1,050,000	10,500.00
MidStates Capital Fund III, LP	1,050,000	4,500.00	12.7%	16.1%	450,000	4,500.00
Stone Creek Capital, LLC		500.00	1.4%	1.8%	50,000	500.00
AAVIN Mezzanine Fund, LP	1,244,250	5,332.50	15.1%	19.1%	533,250	5,332.50
AAVIN Equity Partners II, LP	505,750	2,167.50	6.1%	7.8%	216,750	2,167.00
Management Reserve		5,307.69	15.0%	7.5%	*	5,307.69
Stone Creek Capital, LLC Promote		7,076.92	20.0%	10.0%	*	7,076.92
Totals	\$ 5,250,000	35,384.61	100.0%	100.0%	\$ 2,300,000	35,384.11

*Management Reserve is Class C Units and Stone Creek Capital LLC Promote is Class B Units that receive initial distributions of 50% until certain performance goals are met regarding the Class A Units.

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Montana SilverSmiths, LLC - INVESTMENT VALUATION
June 30, 2017

Waterfall

In the event of a sale of the company and after the repayment of any revolving credit, all senior debt and any other retained liabilities, the distribution of any remaining balance of proceeds would be pro-rata with Class B units and Class C units receiving an amount equal to 50% of their outstanding equity percentages with the balance to Class A units until the Class A units have received an amount equal to 2.5x the original cost. After the Class A units have received 2.5x the Class C and Class B units will receive catch up distributions until they receive their respective outstanding equity percentages of total distributions. Any remaining balance will be distributed pro-rata to the Class A, Class B and Class C units pro-rata according to their respective outstanding equity percentages. Class A is owned by the investors, Class B units are those issued to Stone Creek as their sponsor promote and Class C units are those reserved for issue to management.

Board of Directors

<u>Name</u>	<u>Position/Affiliation</u>
Steve Muellner	CEO
Drew Adams	Stone Creek Capital, Board Chair
Kevin F. Mullane	AMF/AEPII
Joe Hays	Diamond State Capital
Bart Bergman	Mid States Capital

Company Contact Information

<u>Name & Location</u>	<u>Principal Officers</u>
Montana SilverSmiths, LLC	Steve Muellner CEO
#1 Sterling Lane	Judy Wagner VP Marketing
Columbus, Montana 59019	Peter Eckberg CFO
Voice: 406-322-4555	

AAVIN MEZZANINE FUND, LP

VALUATION REPORT

Portfolio Company: **Odessa AIM Holdings, Inc.**

June 30, 2017



INVESTMENT DATE:

August 31, 2016

AAVIN PRINCIPALS:

James Thorp, Board Member

Thies Kolln, Board Member

36.0% Outstanding Equity Ownership

32.4% Fully Diluted Equity Ownership

Security	Total Invested Cost	Prior Valuation	Current Period Change			Current Valuation
			New \$ Invested	Redemptions/ Repayments	Valuation Change	
Sub Debt	\$ 2,630,561	\$ 2,630,561				\$ 2,630,561
Preferred Stock	563,080	563,080				563,080
Common Stock	5,688	5,688				5,688
Total	\$3,199,329	\$3,199,329	\$0	\$0	\$0	\$3,199,329

Enterprise Valuation*: \$9,170,000

*Enterprise value - The value of the enterprise implied by the current valuation required to return capital to the fund equal to the current valuation.

Proceeds received to date:

Periods	Closing Fees	Management Fees	Interest	Other Distributions	Return of Principal	Total
Current Period (Close - Dec 31, 2016)	\$ 62,565	\$ 23,700	\$ 94,116			\$ 180,381
2017 YTD		35,550	185,163	-	-	220,713
Total	\$ 62,565	\$ 59,250	\$ 279,279			\$ 401,094

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Odessa AIM Holdings. Inc. - INVESTMENT VALUATION
June 30, 2017

Valuation

The June 30, 2017 valuation of Odessa Aim Holdings, Inc. ("AIM" or the "Company") is unchanged from December 31, 2016. It remains \$3,199,329 for AMF and \$1,300,671 for AEPII each of which is equal to the original cost of the investment. Total amount invested by AAVIN Funds equals \$4,500,000. The Company continues to perform satisfactorily, is current on all debt and within covenants.

Business Description

AIM, a Delaware corporation, is a holding company established by AAVIN to recapitalize and hold the ownership of Odessa American Industrial Machine, LLC. AIM is a specialty manufacturer of machined parts and components for industrial engines and compressors serving companies with natural gas processing facilities in the Permian Basin (Odessa, Texas and vicinity). AIM provides service to owners of natural gas compression systems whose need is often immediate and critical. When a failed or damaged part on a high value engine or compressor causes an outage, it can, in turn, cause the natural gas producer to incur significant expense and lost revenue. Given the 24/7/365 rugged operating field conditions, component parts need to be repeatedly repaired or replaced. Approximately 70% of Company work is for unplanned part failures. The Company has a reputation for being highly responsive to this urgent, time dependent, customer requirement. The Company rebuilds or fabricates parts in their machining operation and provides the replacement to its customers which then manage the installation.

Financing

On August 31, 2016 AAVIN closed on a recapitalization that it lead to provide significant liquidity to John Hutson and Walt Tonge (the prior sole owners of AIM) in the amount of \$6,000,000 at closing in exchange for a 50% interest in the Company. AAVIN invested \$4,000,000 to support this transaction and secured another \$2,000,000 in senior term debt from Parkside Financial Bank & Trust. An additional \$1,000,000 in a working capital line of credit based upon receivables and inventory was also put in place and was undrawn at closing. AAVIN provided a total of \$4,500,000 to provide for the recapitalization, closing costs and initial cash operating capital.

AMF invested a total of \$3,199,329 in the transaction: \$2,630,561 was in the form of a 14% 5-year subordinated note, \$563,080 was in 8% redeemable preferred stock and \$5,688 was in common stock representing 36% of the outstanding ownership of the Company.

AEPII invested a total of \$1,300,671 in the transaction: \$1,069,439 was in the form of a 14% 5-year subordinated note, \$228,920 was in 8% redeemable preferred stock and \$2,312 was in common stock representing 14% of the outstanding ownership of the Company.

AMF/AEPII have the right to have two seats on the board of directors.

Current Status

During the first half of 2017 the Company continued at approximately the same pace as 2016. This is behind 2014 and 2015 performance and is primarily due to loss of business from on major customer, DCP. While the Company is behind what was expected when AAVIN closed

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Odessa AIM Holdings. Inc. - INVESTMENT VALUATION
June 30, 2017

the investment it has not had cash flow issues, is paying its bills on time and has yet to have to access its revolving line of credit.

The Company recently completed its first audit. The company still needs to make improvements in its accounting systems. While AAVIN had brought in an outside accounting contractor to assist it has concluded that the Company needs to have its own controller. Management agreed to this and the plan is to hire a controller during the second half of 2017. In addition, we hope to start to pursue additional growth initiatives. The Company has hired a new salesperson that we hope will increase sales with customers/gas plants that are not currently served. Additional salespeople will also be considered, but we are exploring other services and possible geographic expansion.

Keys to Success

- Successfully implement more sophisticated systems to track financial and operational metrics and use to evaluate and help manage growth.
- Determine supplemental personnel needs to provide for and manage growth and successfully recruit and hire.
- Execute on growth plans prudently. Evaluate options and prioritize relative to available resources and economic

opportunity. Develop measurable target endpoints. Implement and proactively monitor feedback against targeted results. Take timely and corrective actions as appropriate.

Exit Strategy

The potential exit opportunities for this Company are most probably a sale to a strategic or financial acquirer. The management team has built a similar previous company that was sold to Dresser-Rand a strategic acquirer.

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Odessa AIM Holdings. Inc. - INVESTMENT VALUATION
June 30, 2017

Historical Financial Performance

In '000's	Year Ended December 31						YTD 5/31/17	TTM 5/31/17	Annual Budget 2017
	2013	2014	2015	Jan - Aug 2016	Sep - Dec 2016	2016			
Revenues	\$ 6,819	\$ 8,853	\$ 7,521	\$ 4,200	\$ 2,450	\$ 6,650	\$ 3,061	\$ 7,143	\$ 6,847
Cost of Goods Sold	2,983	3,905	3,410	1,876	1,012	2,888	1,333	2,964	2,942
Gross profit	\$ 3,835	\$ 4,948	\$ 4,111	\$ 2,324	\$ 1,438	\$ 3,762	\$ 1,728	\$ 4,179	\$ 3,905
Gross profit %	56.2%	55.9%	54.7%	55.3%	58.7%	56.6%	56.5%	58.5%	57.0%
Total operating expense	1,981	2,179	2,159	2,386	1,757	4,143	1,403	4,397	3,196
Net Income (Loss)	\$ 1,854	\$ 2,768	\$ 1,952	\$ (62)	\$ (319)	\$ (381)	\$ 325	\$ (218)	\$ 709
						\$ -			
EBITDA Add-backs	-	-	-	\$ 992	\$ 741	\$ 1,733	\$ 425	\$ 1,965	\$ 1,014
EBITDA	\$ 1,854	\$ 2,768	\$ 1,952	\$ 930	\$ 422	\$ 1,352	\$ 750	\$ 1,747	\$ 1,723
EBITDA % actual	27.2%	31.3%	26.0%	22.1%	17.2%	39.4%	24.5%	24.5%	25.2%

Balance Sheet as of May 31, 2017 ('000's)			
Cash	\$ 180	A/P	\$ 441
A/R, net of allowance for bad debt	1,000	Accruals	39
		Line of Credit - Parkside	-
Inventory	117	Current Portion of LT Debt	400
		Total Current Liabilities	880
Prepaid Expenses & Other	32		
Total Current Assets	1,329	Parkside Sr. Term	1,300
		AAVIN Equity Partners II	1,069
		AAVIN Mezzanine Fund	2,631
		John Hutson	1,100
		Walt Tonge	1,100
		Total LT Liabilities	\$ 8,080
		Preferred Stock	1,584
Equipment, net	467	Common Stock	16
Goodwill	7,779	Retained Earnings	\$ (105)
Total Assets	\$ 9,575		\$ 9,575

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Odessa AIM Holdings. Inc. - INVESTMENT VALUATION
June 30, 2017

Investor	14% 5-Year Subordinated Debt	Total Equity Capital Contribution (\$)	Preferred (\$)	Series A Preferred Stock (#) ⁽¹⁾	Common (\$)	Fully Diluted Common Stock (#)	Fully Diluted Common Stock (%)
AAVIN Mezzanine Fund, L.P.	\$ 2,630,561	\$ 568,768	\$ 563,080	563,080	\$ 5,688	320	32.0%
AAVIN Equity Partners II, L.P.	1,069,439	231,232	228,920	228,920	2,312	130	13.0%
AAVIN Total	<u>\$ 3,700,000</u>	<u>\$ 800,000</u>	<u>\$ 792,000</u>	<u>792,000</u>	<u>\$ 8,000</u>	<u>450</u>	<u>45.0%</u>
Compression Sales I LTD (Hutson)	1,100,000	400,000 ⁽³⁾	396,000	396,000	4,000	225	22.5%
WMT I LTD (Tonge)	1,100,000	400,000 ⁽³⁾	396,000	396,000	4,000	225	22.5%
Incentive Pool ⁽²⁾		-		-		100	10.0%
Total	<u>\$ 5,900,000</u>	<u>\$ 1,600,000</u>	<u>\$1,584,000</u>	<u>1,584,000</u>	<u>\$ 16,000</u>	<u>1,000</u>	<u>100.0%</u>
(1) Liquidation Preference of \$1.00 per share. Series A Preferred has an 8% preferred return that compounds annually and is payable upon liquidation.							
(2) Unissued at closing							
(3) Capital contribution consists of Odessa American Industrial Machine LLC membership interests							

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Odessa AIM Holdings. Inc. - INVESTMENT VALUATION
June 30, 2017

Waterfall

In the event of a sale of the company and after the repayment of the funded senior debt to Parkside, the Sub Debt of \$5,900,000 plus all accrued and unpaid interest would be paid next, pro-rata; then the \$1,584,000 in preferred stock plus all accumulated dividends, pro-rata; and then the remainder would be paid out to the common equity.

Board of Directors

<u>Name</u>	<u>Position/Affiliation</u>
James Thorp	representing AAVIN
Thies Kolln	representing AAVIN
Walt Tonge	CEO
John Hutson	Sales Manager

Company Contact Information

<u>Name & Location</u>	<u>Principal Officers</u>
Odessa AIM Holdings, Inc.	Walt Tonge – CEO
Odessa AIM Intermediary, Inc.	John Hutson – Sales Manager
Odessa American Industrial Machine LLC	
3401 N. County Road W	
Odessa, Texas 79764	
Phone 432-366-3516	

AAVIN MEZZANINE FUND, LP

VALUATION REPORT

Portfolio Company: **SPI Acquisition Holdings, Inc.**

June 30, 2017



INVESTMENT DATE:

December 27, 2016

AAVIN PRINCIPALS:

Paul Rhines, Director

Kirk Kaalberg, Director

31.86% Outstanding Equity Ownership

21.58% Fully Diluted Equity Ownership

Security	Total Invested Cost	Prior Valuation	Current Period Change			Current Valuation
			New \$ Invested	Redemptions/ Repayments	Valuation Change	
Sub Debt	\$ 2,069,010	\$ 2,069,010				\$ 2,069,010
Preferred Equity	1,379,340	1,379,340				1,379,340
Total	\$3,448,350	\$3,448,350				\$3,448,350

Enterprise Valuation*: \$20,425,000

*Enterprise value - The company valuation required to return proceeds to the fund equal to the current valuation

Proceeds received to date:

Periods	Closing Fees	Management Fees	Interest	Other Distributions	Return of Principal	Total
Close - 12/31/16	\$ 68,967		-			\$ 68,967
YTD 2017		18,359	144,948			163,307
Total	\$ 68,967	\$ 18,359	\$ 144,948	\$ -	\$ -	\$ 232,274

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
SPI ACQUISITION HOLDINGS, INC. - INVESTMENT VALUATION
June 30, 2017

Valuation

The valuation of SPI Acquisition Holdings, Inc. and its wholly owned operating subsidiary, Standard Precast, Inc. (SPI or Company) is equal to cost as of June 30, 2017 which is \$ 3,448,350 for AMF and \$1,401,650 for AEP II. Total amount invested by AAVIN Funds equals \$4,850,000.

Business Description

SPI is a manufacturer of precast concrete products that are used in the collection and distribution of water and wastewater infrastructure projects. While it makes a variety of products for these applications, the majority of items sold are manholes, box culverts, and inlets. The Company and plant are located in Jacksonville, Florida and the majority of the Company's business is from that area. SPI was started in 1961 and has operated continuously since that time.

Financing

AAVIN invested \$4.850 million in the acquisition of SPI. The transaction closed on December 27, 2016. AAVIN was joined in the purchase by Diamond State Ventures which invested an identical amount on identical terms. The purchase price for the Company was \$18.007 million. We each own approximately 44.8% with the remainder owned by Woodlake Advisors who sponsored the transaction and will have an ongoing management role and a significant ownership incentive based on the Company's ultimate liquidation value. Senior bank financing of \$9 million was provided by Hancock Bank which also is providing a line of credit of up to \$2.5 million. Finally, although separate from our purchase transaction, the Company sold its real estate for approximately \$7.5 million in a sale and leaseback (by the new

Company) to Store Capital. Details of the securities purchased by the Aavin entities are as follows:

1. \$2,910,000 in the form of a Subordinate Note dated December 27, 2016 with a 12% interest rate payable monthly and due at December 28, 2021. In addition to the current pay, there is an additional 1% PIK added to the principal and due in full at maturity with the remaining principal. These Notes are secured by a secondary security interest in all of the Companies' assets.
2. \$1,940,000 in the form of a Series A Participating Preferred Stock with an 8% annual dividend rate which is being accrued and will be paid when declared by the Board of Directors. These securities represent a 44.8% equity ownership position initially. This interest is subject to dilution of up to 14.45% from (a) the Class B carried interest incentive of up to 22.25% and (b) a possible 10% management stock incentive program not yet in existence. The Class B incentive is based on the total returns flowing to the Preferred Shares as follows: If the Preferred returns are 1.5x the investment plus 8%, the B receives no incentive. From that level to the point where the Preferred receives 3x cost plus 8%, the B earns the incentive up to the maximum of 22.25%. Interim steps are at:

1.5-2.0=10% , 2.0-2.5=15%, 2.5-3.0=20.00% and 3.0+=22.25%

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
SPI ACQUISITION HOLDINGS, INC. - INVESTMENT VALUATION
June 30, 2017

Current Status

Since the acquisition, the Company has been very busy and in recent weeks has reached record levels of sales and profits (as adjusted for the acquisition costs). The biggest operational problem has been lack of trucks to transport finished product to job sites. Financial results are very close to budget and exceeding prior years' numbers. In addition to the great performance, a couple of positive things have occurred: First, we acquired a small precast plant in Tallahassee (west of Jacksonville) that puts us into another market that we think might be quite attractive. This operation should produce about \$4 million in new sales and may represent a base for further expansion to the west and north. Profits there are modest but should improve with better and more efficient operations which SPI will introduce. This acquisition was financed by an addition of \$1.2 million to our existing bank term loan and will be repaid as part of that loan. Second, we have hired and now have on board a CFO with significant corporate experience in both financial operations and acquisition transactions. Since the purchase, Woodlake has installed reporting systems and other systems that have greatly improved our visibility of the Company's operations and results but more needs to be done, especially if we look at other acquisitions. Our new CFO should be very helpful in doing this.

On the negative side, we are very reliant on Russell Smith, our CEO and President and have not yet gone down the path of looking for a second in command, either from the inside, which seems doubtful, or from the outside. We are approaching the point of doing that soon because Russell has had some health problems recently. Discussions with him will be initiated to get buy in to our approach for finding a COO.

Keys to Success

1. Continue to maintain high margins and dominate the Jacksonville market and now the Tallahassee area and to the West and North
2. Transition to replacement management for the CEO.
3. Look for expansion opportunities that make sense both in Florida and nearby states.
4. Reduce debt as quickly as feasible.

Exit Strategy

The plan is to sell the Company to a larger national player in the precast business. Assuming strong performance, a successful transition to a new CEO, and some growth along with debt reduction, this should be feasible in the 5-year time frame.

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
SPI ACQUISITION HOLDINGS, INC. - INVESTMENT VALUATION
June 30, 2017

Historical Financial Performance/Budget

In '000's	Statement of Operations ('000's)						
	As of December 31,			TTM 5.31.17	Actual YTD 5.31.17	Plan YTD 5.31.17	2017 Annual Plan
	2014	2015	2016				
Net Sales	\$ 16,254	\$ 18,383	\$ 18,871	\$ 19,719	\$ 8,772	\$ 8,292	\$ 20,758
COGS	9,995	11,543	11,316	12,197	5,527	4,998	12,451
Gross Profit	6,259	6,840	7,555	7,522	3,245	3,294	8,307
Gross Margin	38.51%	37.21%	40.03%	38.15%	36.99%	39.73%	40.02%
Operating Expenses	2,629	2,487	4,314	4,763	1,376	1,392	5,515
Net Income	3,630	4,353	3,241	2,759	1,092	1,101	2,792
EBITDA	\$ 4,263	\$ 4,353	\$ 4,610	\$ 4,191	\$ 1,869	\$ 1,902	\$ 5,398
EBITDA Margin	26.2%	23.7%	24.4%	21.3%	21.3%	22.9%	26.0%

Balance Sheet as of May 31, 2017 (000's)			
Cash	\$ 925	A/P	\$ 1,393
Accounts Receivable	4,483	Accrued Expenses	259
Inventory	1,414	Other current liabilities	339
Total Current Assets	6,822	Total Current Liabilities	1,991
Property, Plant & Equipment, net	459	Senior Debt	10,200
Other Assets	540	Mezzanine Debt	5,895
Loan to SPW	1,200		
Goodwill	13,788	Shareholder Equity	4,723
Total Assets	\$ 22,809	Total Liabilities & Equity	\$ 22,809

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
SPI ACQUISITION HOLDINGS, INC. - INVESTMENT VALUATION
June 30, 2017

Capitalization and Equity Schedule

Entity	Total Investment	Sub-Debt	Preferred Stock \$	Preferred Shares	Outstanding Ownership %	Fully Diluted Ownership %
AAVIN Mezzanine Fund, LP	\$ 3,448,350	\$ 2,069,010	\$ 1,379,340	1,379.34	31.86%	21.58%
AAVIN Equity Partners II, LP	1,401,650	840,990	560,660	560.66	12.95%	8.77%
Diamond State	4,850,000	2,910,000	1,940,000	1,940.00	44.80%	30.35%
Woodlake Advisors	300,000	75,000	225,000	225.00	5.20%	3.52%
Woodlake Advisors - Class B 22.25%						22.25%
Russell Smith	225,000		225,000	225.00	5.20%	3.52%
Management Incentive - Class A 10%	-					10.00%
Totals	\$ 10,225,000	\$ 5,895,000	\$ 4,330,000	4,330.00	100.00%	100.00%

Class A is issued at the discretion of the board and the 10% represents the maximum that might be issued. Class B has no value as of 6/30/17. The future value of the Class B will be determined by the ultimate liquidation value of the Company upon its' sale and is related to the multiple of investment received by the Preferred Shares. If such multiple is 1.5x the Preferred cost plus 8%, the B has no value. Thereafter, as the multiple of cost plus the 8% increases to a maximum of 3x cost, the Bs' value will increase to the maximum of 22.25% of the liquidation value as shown above.

Board of Directors

Name	Position/Affiliation
Russell Smith	CEO, COO, Director
Sam Seraphim	COB, Director - Woodlake Advisors
Paul D. Rhines	Director - AAVIN
Kirk Kaalberg	Director- AAVIN
Tyler Bozynski	Director - Diamond State

Company Contact Information

Name & Location	Principal Officers
SPI Acquisition Holdings Inc. 12300 Presidents Court Jacksonville, FL 32220	Russell Smith CEO, COO Phone: 904-268-0466

AAVIN MEZZANINE FUND, LP

VALUATION REPORT

Portfolio Company: **TRANSFER TOOL HOLDING, LLC**

June 30, 2017



INVESTMENT DATE:
AAVIN PRINCIPALS:

August 10, 2015
Kevin F. Mullane, Board Member
David Schroder, Board Observer

11.4% Outstanding Equity Ownership

10.4% Fully Diluted Equity Ownership

Security	Total Invested Cost	Prior Valuation	Current Period Change			Current Valuation
			New \$ Invested	Redemptions/ Repayments	Valuation Change	
Sub-Debt	\$1,215,529	\$ 1,124,511	\$ 91,018	-	-	\$1,215,529
Common Units	749,674	749,674		-	-	749,674
Total	\$1,965,203	\$1,874,185	\$ 91,018	-	-	\$1,965,203

Operating Company Enterprise Valuation*: \$29,867,000 Real Estate Valuation: \$2,174,747

*Enterprise value - The company valuation required to return proceeds to the fund equal to the current valuation

Proceeds received to date:

Periods	Closing Fees	Management Fees	Interest	Other Distributions	Return of Principal	Total
Close - Dec 2015	\$ 35,498		\$ 59,636			\$ 95,134
2016			126,939	\$ 1,548		128,487
YTD 2017			5,197			5,197
Total	\$ 35,498		\$ 191,772	\$ 1,548	\$ -	\$ 228,818

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
TRANSFER TOOL HOLDING, LLC - INVESTMENT VALUATION
June 30, 2017

Valuation

This valuation is unchanged from the prior period. The company has made significant investments in new presses and in plant expansion. The new business associated with this investment is expected to begin in August of 2017. The company results are being watched closely and if expected improvement in the business is not in process by the end of 2017 a reduction in value will be contemplated.

As of June 30, 2017, the valuation is \$1,874,185 for AAVIN Mezzanine Fund, LP (AMF) and \$765,480 for AAVIN Equity Partners II, LP (AEPII) each of which is equal to the original cost of the investment. The total amount invested by AAVIN combined funds was \$2,639,665.

Business Description

TT develops and manufactures deep drawn metal stampings for long time blue chip customers serving primarily the automotive industry. Established over 30 years ago the company is located in Grand Haven, Michigan. The company has developed a strong niche in the automotive supply industry. The company has been able to develop a long-term relationship with a variety of large automotive manufacturers. TT specializes in high volume production of small custom parts up to 10" in diameter in steel, stainless steel, brass aluminum and other alloys. In addition to its primary function TT also provides services of cleaning, plating, rust inhibiting, deburring, vibratory heat treating and machining.

Financing

AMF and AEPII participated in a buyout of the stock of TT. The total purchase price for the business which includes the real estate was \$26,850,936. Four other SBIC's participated in the transaction.

AMF, invested a total of \$1,774,890 in the transaction. The investment is comprised of \$1,064,934 in 14% subordinated debt with a five-year term and \$709,956 in common membership units.

AEPII, invested a total of \$725,110 in the transaction. The investment is comprised of \$435,066 in 14% subordinated debt with a five-year term and \$290,044 in common membership units.

On November 4, 2016, TT raised additional capital to fund a plant expansion. AMF invested a total of \$99,295 in this follow-on financing of which \$59,577 is in 14% subordinated debt and \$39,718 is in common membership units. AEPII invested a total of \$40,360 in this follow-on financing of which \$24,216 is in 14% subordinated debt and \$16,144 is in common membership units. In April 2017 AMF invested \$91,018 in 14% sub debt. AEP II also invested in this round in the amount of \$36,999 in 14% sub debt.

AMF/AEPII hold one Board seat on the Board of Directors of TT. AMF/AEPII have the right to also have two observers attend board meetings.

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
TRANSFER TOOL HOLDING, LLC - INVESTMENT VALUATION
June 30, 2017

Current Status

The company is on plan for revenues through May 31, 2107. The company however is behind plan in GM and EBITDA YTD. The company has seen margin deterioration due to their highest margin customer taking business back in house. The company has made a significant investment in growth infrastructure in 2016 and early 2017 which was needed to be completed ahead of the new business it serves. The company has a significant new customer ARC Automotive which will begin shipping in the third quarter. This new business is expected grow to over \$7 million over three years. The company has also invested heavily in new equipment to service the new business from ARC and Daicel. This new business is expected to begin shipping in the third quarter. The acquisition and development of tooling and qualifying parts has been a longer process than expected and the company has been front loading those costs in advance of the new business.

AAVIN invested in this business alongside Capital For Business, Diamond States Ventures, Kansas venture Capital and MidStates Capital.

Starting in October 2016, in exchange for the senior lender to reset their covenants the Investors agreed to forego interest until such time as the company is back in full compliance.

Keys to Success

- Hired a new CEO
- Expand sales into other product lines
- Continue to gain market share in automotive products
- Pay down acquisition debt

Exit Strategy

The exit strategy for this investment will be to grow the company over the next five years and pay down acquisition debt and engage an investment banker at that time to run a sale process to sell the company to an industry buyer or to a financial buyer.

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
TRANSFER TOOL HOLDING, LLC - INVESTMENT VALUATION
June 30, 2017

Historical Financial Performance/Budget

Statement of Operations									
In '000's	2012	2013	2014	2015	2016	TTM 5/31/17	YTD 5/31/17	YTD budget 5/31/17	Annual Budget 2017
Net Sales	\$ 16,485	\$ 16,918	\$ 19,150	\$ 19,905	\$ 20,889	\$ 20,893	\$ 8,881	\$ 8,617	\$ 23,516
COGS	10,483	10,562	12,085	13,084	15,305	16,180	6,686	6,133	16,868
Gross Profit	6,002	6,356	7,065	6,821	5,584	4,713	2,195	2,488	6,648
Gross Margin	36.4%	37.6%	36.9%	34.3%	26.7%	22.6%	24.7%	28.9%	28.3%
Operating Expenses	2,078	2,127	2,335	4,602	6,123	7,150	3,175	3,181	7,082
Other Income (Expense)	(586)	(634)	(668)	(622)	(1,324)	(635)	(311)	(356)	
Net Profit (Loss)	\$ 3,338	\$ 3,595	\$ 4,062	\$ 1,597	\$ (1,746)	\$ (2,438)	\$ (1,157)	\$ (912)	\$ (1,022)
EBITDA Adjustments	358	365	366	2,635	4,724	4,537	2,299	2,191	4,624
EBITDA	\$ 3,696	\$ 3,960	\$ 4,428	\$ 4,232	\$ 2,978	\$ 2,099	\$ 1,056	\$ 1,279	\$ 3,602
EBITDA Margin	22.4%	23.4%	23.1%	21.3%	14.3%	10.0%	11.9%	14.8%	15.3%

Balance Sheet as of May 31, 2107			
Cash	\$36,862	A/P	\$2,116,350
A/R	3,888,511	Accruals	1,627,334
Inventory	2,780,793	Note Payable - Short Term	750,000
Prepaid Expenses & Other	246,071	Credit Line	4,000,000
		Other	475,190
Total Current Assets	6,952,237	Total Current Liabilities	9,172,658
PP&E, Net	11,959,106	Investor Long Term Debt	10,640,989
Goodwill (net amortization)	13,769,345	Senior bank	7,250,000
		Unamortized Bank Issue Costs	-226,507
		OC Earnout	140,301
Intangibles (net amortization)	2,700,000	Total LT Liabilities	19,282,630
Other	26,562	Owners Equity	3,000,226
Total Assets	\$31,455,515	Total Liabilities & Equity	\$ 31,455,515

** Note – these financials do not include TT Real Estate, LLC **

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
TRANSFER TOOL HOLDING, LLC - INVESTMENT VALUATION
June 30, 2017

Capitalization & Equity Schedule

Entity	Total Investment	Sub-Debt	Units (\$1/unit)	Ownership %	Profits Units 10%	Fully Diluted Units	Fully Diluted %
CFB Venture Fund, LP	\$ 4,428,276	\$ 2,738,897	\$ 1,689,379	25.6%		1,689,379	23.4%
Diamond State Ventures III, LP	4,428,276	2,738,897	1,689,379	25.6%		1,689,379	23.4%
MidStates Capital Fund III, LP	2,214,138	1,369,448	844,690	12.8%		844,690	11.7%
Kansas Venture Capital, Inc.	2,214,138	1,369,448	844,690	12.8%		844,690	11.7%
AAVIN Mezzanine Fund, LP	1,965,203	1,215,529	749,674	11.4%		749,674	10.4%
AAVIN Equity Partners II, LP	775,479	469,291	306,188	4.6%		306,188	4.2%
TT Holdco, Inc.	1,000,000	600,000	400,000	6.1%		400,000	5.5%
Management	195,000	117,000	78,000	1.2%	624,200	702,200	9.7%
Totals	\$ 17,220,510	\$10,618,510	\$ 6,602,000	100.0%	624,200	7,226,200	100.00%

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
TRANSFER TOOL HOLDING, LLC - INVESTMENT VALUATION
June 30, 2017

Waterfall

In the event of a sale of the company and after the repayment of any revolving credit, all senior debt and any other retained liabilities, the Sub Debt of \$9,363,000 plus all accrued and unpaid interest would be paid next. Any remaining balance of proceeds would then be paid ratably to the holders of common units.

Board of Directors

<u>Name</u>	<u>Position/Affiliation</u>
Scott Coney	CEO
Steve Broun	Capital For Business, Board Chair
Kevin F. Mullane	AMF/AEPII
Bart Bergman	MidStates Capital
Larry Carter	Diamond States Capital

Company Contact Information

<u>Name & Location</u>	<u>Principal Officers</u>
Transfer Tool Holdings, LLC	Steve, Broun, Chairman/CEO
14444 168 th Avenue	Jim Raternick, Founder
Grand Haven, Michigan 49417	
Voice: 616-846-8510	
Fax: 616-846-5628	

AAVIN MEZZANINE FUND, LP

VALUATION REPORT

Portfolio Company: **Verrex, LLC**

JUNE 30, 2017



Global Conferencing & Communication Solutions

INVESTMENT DATE:

July 20, 2016

AAVIN PRINCIPALS:

Kevin F. Mullane, Board Member

Kirk Kaalberg, Board Observer

13.94% Outstanding Equity Ownership

11.15% Fully Diluted Equity Ownership

Security	Total Invested Cost	Prior Valuation	Current Period Change			Current Valuation
			New \$ Invested	Redemptions/ Repayments	Valuation Change	
Sub-Debt	\$888,702	\$888,702				\$888,702
Preferred Class A Units	533,222	533,222				533,222
Total	\$1,421,924	\$1,421,924				\$1,421,924

Enterprise Valuation*: \$14,495,000

*Enterprise value - The company valuation required to return proceeds to the fund equal to the current valuation.

Proceeds received to date:

Periods	Closing Fees	Management Fees	Interest	Other Distributions	Return of Principal	Total
2016 (close - 12/31/16)	\$ 17,774		\$ 44,928	\$ -		\$ 62,702
YTD 2017		-	73,960	-	-	73,960
Total	\$ 17,774	\$ -	\$ 118,888	\$ -	\$ -	\$ 136,662

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Verrex, LLC - INVESTMENT VALUATION
June 30, 2017

Valuation

The valuation of Verrex is unchanged from the prior period. As of June 30, 2017, the valuation is \$1,421,924 for AAVIN Mezzanine Fund, LP (AMF) and \$578,076 for AAVIN Equity Partners II, LP (AEPII) each of which is equal to the original cost of the investment. Total amount invested by AAVIN Funds equals \$2,000,000.

Business Description

Verrex is a global design-build and managed services provider of complex audio and video communication technologies, helping companies connect through videoconferencing, audio conferencing, collaboration, presentation, training, video display and AT/IT integrated communication systems.

Verrex was acquired on July 28, 2016. Verrex was founded in 1947 and located in Mountainside, New Jersey. The company has been in business for close to 70 years. The company does business internationally in North America, Canada, United Kingdom, Hong Kong, Singapore and Japan.

Financing

Through the investment in Verrex, AMF and AEPII participated in a buyout of the stock. The total purchase price for the business was \$13,000,000. Two other SBIC's participated in the transaction.

AMF, invested a total of \$1,421,924 in the transaction. The investment is \$888,702 in 14% subordinated debt with a five-year term and \$333,221 in class A membership units.

AEPII, invested a total of \$578,076 in the transaction. The investment is \$361,298 in 14% subordinated debt with a five-year term and \$216,778 in class A membership units.

AMF/AEPII hold one Board seat and one observer position on the Board of Directors of Verrex.

Current Status

AMF and AEPII closed this investment on July 20, 2016. The company has been making progress transitioning from a 70-year family owned company to a private equity financed growth company. AAVIN invested with two other SBIC's, Diamond State Ventures and MidStates Capital. The company has long term relationships with customers which include large banks and law firms. The company operates both domestically and internationally. The company has an aggressive budget for 2017 of \$44 million in sales up from \$34 million in 2016. YTD May 2017 the company is behind plan primarily due to timing of release of projects. The company has \$14 million in on-going projects and \$3.5 million in booked order backlog. While sales are strong the margins have been pressured by competition for projects. The company has recently opened a west coast office which will open the west coast market. The company as of May 31, 2017 has \$5.6 million in cash.

Keys to Success

- Build and expand the West Coast Office second half of 2017
- Expand sales into other applications
- Continue to gain market share in multimedia AV products

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Verrex, LLC - INVESTMENT VALUATION
June 30, 2017

- Paydown acquisition debt

Exit Strategy

The exit strategy for this investment will be to grow the company over the next five years and pay down acquisition debt and engage an investment banker at that time to run a sale process to sell the company to an industry buyer or to a financial buyer.

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Verrex, LLC - INVESTMENT VALUATION
June 30, 2017

Historical Financial Performance/Budget

Statement of Operations for the Year Ended December 31 (000's)								
In '000's	2012	2013	2014	2015	2016	YTD 5/31/17	YTD Budget 5/31/17	2017 Annual budget
Net Sales	\$ 35,578	\$ 30,400	\$ 33,858	\$ 35,780	\$ 34,034	\$ 13,713	\$ 15,623	\$ 44,303
COGS	23,557	19,000	21,233	22,650	20,626	8,824	9,729	28,122
Gross Profit	12,021	11,400	12,625	13,130	13,407	4,889	5,894	16,181
Gross Margin	33.8%	37.5%	37.3%	36.7%	39.4%	35.7%	37.7%	36.5%
Operating Expenses	13,295	9,080	10,158	10,371	11,157	4,754	5,037	12,160
Other Income (Expense)	(2,998)	(588)	(823)	(649)	(1,001)	(964)	(1,000)	(2,712)
Net Profit (Loss)	\$ 540	\$ 2,071	\$ 2,525	\$ 2,835	\$ 917	\$ (829)	\$ (143)	\$ 1,309
EBITDA Adjustments	1,181	836	764	573	1,333	1,101	575	2,260
EBITDA	\$ 1,721	\$ 2,907	\$ 3,289	\$ 3,408	\$ 2,250	\$ 272	\$ 432	\$ 3,569
EBITDA Margin	4.8%	9.6%	9.7%	9.5%	6.6%	2.0%	2.8%	8.1%

Balance sheet as of May 31, 2017			
Cash	\$5,636,339	A/P plus accruals	\$ 4,652,862
A/R	3,672,266	Current Portion of deferred revenue	3,434,391
Inventory	306,671	Billings in excess of costs	3,957,640
Other Current Assets	2,194,916	Current Portion of LT Debt	823,840
Total Current Assets	11,810,192	Total Current Liabilities	12,868,693
PP&E, Net	3,593,217	Senior Debt	5,573,957
Goodwill	9,369,424	Mezz Debt	4,155,046
Other	53,797	Unamortized Closing Fees	
Total Other Assets	9,423,221	Total Liabilities	22,597,696
Total Assets	\$ 24,826,630	Owners Equity	2,228,934
		Total Liabilities & Equity	\$ 24,826,630

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Verrex, LLC - INVESTMENT VALUATION
June 30, 2017

Capitalization & Equity Schedule

Entity	Sub-Debt	Preferred %	\$1.000 per share		Class B %	\$0.001 per share		Total Ownership %	Total Contribution \$
			Preferred Class A Units	Preferred Contribution \$		Class B Units	Combined A&B Units		
Diamond State Capital LP	\$ 2,035,000	31.76%	12,150	\$ 1,215,000			12,150	25.41%	\$ 3,250,000
MidStates Capital Fund III LP	940,000	14.64%	5,600	560,000			5,600	11.71%	1,500,000
AAVIN Mezzanine Fund LP	888,702	13.94%	5,332	533,222			5,332	11.15%	1,421,924
AAVIN Equity Partners II LP	361,298	5.67%	2,168	216,778			2,168	4.53%	578,076
SBIC Partners	4,225,000	66.01%	25,250	2,525,000		-	25,250	52.81%	6,750,000
Thomas Berry IV		27.45%	10,500	1,050,000			-	21.96%	1,050,000
Five Crowns Capital		2.61%	1,000	150,000	80.00%	7,650	8,650	18.09%	100,000
William Chamberlin		3.92%	1,500	100,000			1,500	3.14%	150,000
Benjamin Garrick	-	0.00%	-	-	20.00%	1,913	1,913	4.00%	1,913
		0.00%					-	0.00%	
Totals	\$ 4,225,000	100.00%	38,250	\$ 3,825,000	100.00%	9,563	47,813	100%	\$ 8,051,913

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
Verrex, LLC - INVESTMENT VALUATION
June 30, 2017

Waterfall

In the event of a sale of the company and after the repayment of any revolving credit, all senior debt and any other retained liabilities, the Sub Debt of \$4,225,000 plus all accrued and unpaid interest would be paid next. Then Preferred Units of \$3,825,000 plus all accumulated dividends would be paid next ratable among the holders thereof. Any remaining balance of proceeds would then be paid ratably to the holders of common units.

Board of Directors

<u>Name</u>	<u>Position/Affiliation</u>
Thomas Berry IV	CEO, President
Joe Hays	Diamond State Capital
Kevin F. Mullane	AMF
Bart Bergman	MidStates Capital
Jeffrey Schaffer	Five Crowns Capital

Company Contact Information

<u>Name & Location</u>	<u>Principal Officers</u>
Verrex, LLC, 1130 Route 22 West Mountainside, New Jersey 07092 616-8468510 www.verrex.com	Thomas Berry IV, CEO Nancy Bowe, Controller

AAVIN MEZZANINE FUND, LP

VALUATION REPORT

Portfolio Company: **WSC Holdco, Inc. (Weeks Service Company)**

June 30, 2017



INVESTMENT DATE:

March 10, 2017

AAVIN PRINCIPALS:

James Thorp, Board Member

David Schroder, Board Observer

33.7% Outstanding Equity Ownership

25.5% Fully Diluted Equity Ownership

Security	Total Invested Cost	Prior Valuation	Current Period Change			Current Valuation
			New \$ Invested	Redemptions/ Repayments	Valuation Change	
14% Sub Debt	1,920,000	NA	1,920,000	NA	NA	1,920,000
Class A Com. Stk.	1,280,000	NA	1,280,000	NA	NA	1,280,000
Total	\$3,200,000	NA	\$3,200,000	NA	NA	\$3,200,000

Enterprise Valuation: \$18,324,000 - The company valuation required to return proceeds to the fund equal to the current valuation.

Proceeds received to date:

Periods	Closing Fees	Management Fees	Interest	Other Distributions	Return of Principal	Total
2017 YTD	\$ 64,000	\$ 22,119	\$ 83,627			\$ 169,746
Total	\$ 64,000	\$ 22,119	\$ 83,627	\$ -	\$ -	\$ 169,746

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
WSC Holdco Inc. (fka Weeks Service Company) - INVESTMENT VALUATION
June 30, 2017

Valuation

This is a new investment so the June 30, 2017 valuation of WSC Holdco, Inc. is at cost of the original investment which was completed March 10, 2017 – \$3,200,000 for AMF and \$1,300,000 for AEPII.

Business Description

WSC Holdco, Inc., a Delaware corporation, is a holding company established by AAVIN to acquire and hold the ownership of Weeks Service Company, a Texas Corporation (collectively referred herein as “WSC” or the “Company”). WSC performs installation, service, and maintenance of heating and air condition products in addition to electrical and generator service, replacement, and maintenance. WSC is primarily a residential replacement HVAC service provider. WSC services existing single family homes (90% of revenues) and commercial buildings (10%), as such, the Company is not dependent on new construction. To this date, WSC has served over 50,000 local homeowners and businesses in south Texas.

Financing

On March 10, 2017, AAVIN lead and closed the acquisition of Weeks Service Company. The total financing was \$18.5mm which included the purchase price of \$17.5 million and \$1mm for closing and pre-closing costs, working capital adjustments and excess cash for working capital. The Sellers financed \$3mm of the total financing through no dividend convertible preferred stock. The cash funds required for the transaction of \$15.5 million were provided by Parkside Financial Bank & Trust (\$6 million), AAVIN (\$4.5 million), Diamond State Ventures (“DSV”) (\$3.5 million) and Mid States Capital (“MSC”) (\$1.5 million).

The Parkside \$6mm senior term financing is a 5-year term facility with 7-year principal amortization at prime rate plus 1%. Parkside will also make available a \$1 million one-year working capital line of credit that was undrawn at close.

The funds provided by AAVIN and the other SBIC’s were 60% in the form of 14% subordinated debt and the balance was in common stock. On March 10, 2017 AMF invested 1,920,000 in 14% 5-year subordinated debt and \$1,280,000 in Class A Common Stock and AEPII invested \$780,000 in 14% 5-year subordinated debt and \$520,000 in Class A Common Stock.

AMF/AEPII have the right to one seat on the board of directors and an observer. AAVIN receives a \$100,000 annual management fee.

Current Status

The Company has had good financial performance subsequent to the closing. It has outperformed its prior year performance in revenues and EBITDA during this period. In June, the Company set a new record with its best revenue month ever.

Since closing the Company retained BKD and has been busy completing its post-acquisition accounting work. BKD has been retained for this purpose and to do the company’s audit for 2017. The working capital accounting has been completed and the working capital escrow released.

Going forward AAVIN will work with management to improve some accounting systems and reporting. AAVIN also will work with management and board to explore expansion opportunities.

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
WSC Holdco Inc. (fka Weeks Service Company) - INVESTMENT VALUATION
June 30, 2017

Keys to Success

- Successfully implement more sophisticated systems to track financial and operational metrics and use to evaluate and help manage growth.
- Ultimately recruit a new CEO to replace Gary Weeks who will be retiring prior to the end of our investment horizon. Such CEO should be someone that can take the Company well beyond our investment horizon.
- Execute on growth plans prudently. Evaluate options and prioritize relative to available resources and economic opportunity. Develop measurable target endpoints. Implement and proactively monitor feedback against targeted results. Take timely and corrective actions as appropriate.

Exit Strategy

The intent is to improve systems, develop conventional credit relationships and grow EBITDA. The Company should be attractive to financial buyers and there are a series of strategic buyers that are very active in the market.

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
WSC Holdco Inc. (fka Weeks Service Company) - INVESTMENT VALUATION
June 30, 2017

Historical Financial Performance

Statement of Profit and Loss					
In '000's	December 31,			YTD	TTM
	2014	2015	2016	6/30/2017	6/30/2017
Revenues	\$ 15,810	\$ 16,430	\$ 17,049	\$ 8,891	\$ 17,614
Cost of Goods Sold	9,608	9,783	10,144	3,604	6,979
Gross profit	6,202	6,647	6,905	5,287	10,635
<i>Gross profit %</i>	39.2%	40.5%	40.5%	59.5%	60.4%
Total operating expense	3,570	3,559	3,567	6,563	13,675
Net Income (Loss)	\$ 2,632	\$ 3,088	\$ 3,338	\$ (1,276)	\$ (3,040)
EBITDA Add-backs	289	286	206	\$ 3,376	\$ 6,698
EBITDA	\$ 2,921	\$ 3,374	\$ 3,544	\$ 2,100	\$ 3,658
<i>EBITDA %</i>	18.5%	20.5%	20.8%	23.6%	20.8%

Balance Sheet as of June 30, 2017 ('000's)			
Cash	\$ 1,698	A/P	\$ 616
A/R, net of allowance for bad debt	380	Accruals	817
		ST Parkside - Current Portion of LTD	857
Inventory	956	Agreement Reserve	645
		Total Current Liabilities	2,935
Prepaid Expenses & Other	186		
Total Current Assets	3,220	Parkside Sr. Term	4,857
		AAVIN Equity Partners II	780
		AAVIN Mezzanine Fund	1,920
		Diamond States	2,100
		Midstates	900
		Total LT Liabilities	\$ 10,557
		Preferred Stock	3,000
Equipment, net	-	Common Stock	3,800
Goodwill	19,956	Retained Earnings	\$ 2,884
Total Assets	\$ 23,176		\$ 23,176

AAVIN Mezzanine Fund, LP/AAVIN Equity Partners II, LP
WSC Holdco Inc. (fka Weeks Service Company) - INVESTMENT VALUATION
June 30, 2017

Waterfall

In the event of a sale of the company and after the repayment of the funded senior debt to Parkside, the Sub Debt of \$5,700,000 plus all accrued and unpaid interest would be paid next, pro-rata; then Gary and Cindy Weeks will either convert their preferred stock to common stock or take a liquidation preference of \$187.50 per share which would total \$3,000,000 for all shares. The remainder of the proceeds if any would be paid out to the common equity according to the ownership percentages.

Board of Directors

<u>Name</u>	<u>Position/Affiliation</u>
James Thorp	Director - AAVIN
Joe Hayes	Director - DSV III
Bart Bergman	Director - MSC III
Gary Weeks	Director - CEO
Fred Wilcox	Director – outside/industry
David Schroder	Observer - AAVIN

Company Contact Information

<u>Name & Location</u>	<u>Principal Officers</u>
WSC Holdco, Inc.	Gary Weeks – CEO
WSC Intermediary, Inc.	Cindy Weeks – Controller
Weeks Service Company	
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Fax (281) 332-9558	